

Trade Practices Act 1974

Undertaking to the Australian Competition and
Consumer Commission pursuant to section
87B

By

Johnson & Johnson

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Part 1: Background

- 1 J&J is the ultimate parent company of a group of companies whose activities are divided into three business segments: consumer; pharmaceutical; and medical devices and diagnostics. This Undertaking is offered by J&J by and on behalf of the Australian J&J Subsidiaries and J&J Singapore.
 - 2 Pfizer is a pharmaceutical company whose activities are divided into three business segments: consumer healthcare; pharmaceuticals; and animal health.
 - 3 On 25 June 2006, J&J and Pfizer entered into a Stock and Asset Purchase Agreement to effect the sale of the Pfizer Consumer Healthcare Business to J&J. Included in the assets of that business are the Lomotil and Lofenoxal brands.
 - 4 In its Statement of Issues dated 28 November 2006, the Commission expressed the view that the Proposed Acquisition raises competition concerns under section 50 of the Act. The Commission's concerns relate to the effect of the Proposed Acquisition upon competition in the market for medicines for the treatment of intestinal threadworms, the market for medicines for the treatment of diarrhoea and the market for nicotine replacement therapy products or nicotine patches.
 - 5 The EC has also expressed concerns in relation to the effect of the Proposed Acquisition upon competition in a number of markets including nicotine replacement therapy markets in some European Economic Area States.
 - 6 J&J does not accept that the Proposed Acquisition will, or is likely to, result in a substantial lessening of competition in any relevant market.
 - 7 Without admission, J&J has offered this Undertaking to the Commission with the intention that the Undertaking will address the Commission's competition concerns in relation to the market for medicines for the treatment of intestinal threadworms and the market for medicines for the treatment of diarrhoea. This Undertaking is directed at securing the continued marketing in Australia of the Vermox, Lomotil and Lofenoxal brands and, if necessary, ensuring that any purchaser of those brands has access to a supply of the product, on competitive terms for a period of 2 to 3 years after their sale.
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- 8 Without admission, J&J has entered into the EC Commitments to address the EC's concerns regarding nicotine replacement therapy markets. This Undertaking incorporates the EC Commitments with the intention that these commitments, together with additional undertakings to the Commission, will address the Commission's concerns in relation to the market for nicotine replacement therapy products or nicotine patches in Australia.
- 9 Two of the Divestiture Brands, Lomotil and Lofenoxal, are medicines sold in Australia by Pfizer Australia for the treatment of diarrhoea. Pfizer Australia obtains its supplies of these two products, which are manufactured by NPIL, through Pfizer inter-company arrangements.
- 10 The Commission is concerned to ensure that an Approved Purchaser(s) of the Lomotil Sale and the Lofenoxal Sale is able to secure ongoing supply of Lomotil and Lofenoxal-branded products. To address this concern, J&J has made undertakings set out in paragraphs 26 to 31 (inclusive) of this Undertaking, and Pfizer has undertaken, in the circumstances and on the terms set out in the Pfizer Undertaking, to ensure ongoing supply of Lomotil and Lofenoxal for sale in Australia to an Approved Purchaser.
- 11 J&J has proffered this Undertaking to the Commission pursuant to section 87B of the Act.

Part 2: Interpretation

Definitions

- 12 In this document:

Act means the *Trade Practices Act 1974* (Cth).

ALZA means ALZA Corporation, a subsidiary of J&J, a company incorporated in Delaware, United States of America.

ALZA Nicotine Patch Business means whichever of the following alternative businesses as is divested by J&J in accordance with the EC Commitments:

- (a) ALZA Global Nicotine Patch Business, being the worldwide assets and personnel directly and predominantly associated with the manufacture and supply of ALZA's transdermal nicotine patch; or

- (b) ALZA International Nicotine Patch Business, being the assets and personnel directly and predominantly associated with the manufacture and supply of ALZA's transdermal nicotine patch world wide other than in the U.S.A, Canada and South Korea, but including Australia and New Zealand.

Approved Agent means a sales agent accepted by the Commission in accordance with paragraph 48 of this Undertaking.

Approved Purchaser means a Prospective Purchaser approved by the Commission in accordance with paragraphs 35 to 44 of this Undertaking.

Australian J&J Subsidiaries means Johnson & Johnson Pty Limited (ACN 000 023 709), Johnson & Johnson Pacific Pty Limited (ACN 001 121 446), Janssen-Cilag Pty Limited (ACN 000 129 975), Johnson & Johnson Medical Pty Limited (ACN 000 160 403), Johnson & Johnson Research Pty Limited (ACN 003 328 176), Tasmanian Alkaloids Pty Limited (ACN 009 502 283) and McNeil Manufacturing Pty Limited (ACN 122 159 915).

Business Day means a day which is not a Saturday, Sunday or bank or public holiday in Sydney.

Commission means the Australian Competition and Consumer Commission.

Divestiture Brands means the Vermox, Lofenoxal and Lomotil brands.

Divestiture Brand Sales means the Lofenoxal Sale, the Lomotil Sale and the Vermox Sale.

Divestiture Trustee means the Trustee appointed under clause 20 of the EC Commitments.

EC means the European Commission Directorate-General for Competition.

EC Commitments means the binding commitments entered into by J&J with the EC to resolve the EC's concerns regarding nicotine replacement therapy markets, a copy of which is at Schedule 1 to this Undertaking.

EC Purchaser Proposal means the fully documented and reasoned proposal that J&J is required to provide to the EC pursuant to paragraph 19 of the EC Commitments in relation to the proposed sale of the ALZA Nicotine Patch Business.

GSK means GlaxoSmithKline plc, a company incorporated in the United Kingdom.

Independent Auditor means KPMG or a successor who has been approved in writing or nominated by the Commission in accordance with paragraphs 57 or 59 of this Undertaking.

Initial Sale Period means the period of time set out in Schedule 5.

J&J means Johnson & Johnson, a company incorporated in New Jersey, United States of America.

J&J Pfizer Indemnity means the indemnity Pfizer has required from J&J, pursuant to Part 4 of the Pfizer Undertaking.

J&J Singapore means Johnson & Johnson Singapore Pte Ltd, a company incorporated in Singapore.

Lofenoxal Sale means the transfer of the items listed in Schedule 2 to an Approved Purchaser, it being acknowledged that nothing in this Undertaking is intended to affect the intellectual property rights of J&J and its related entities in the intellectual property relating to the Lofenoxal brand outside of Australia.

Lomotil Sale means the transfer of the items listed in Schedule 3 to an Approved Purchaser, it being acknowledged that nothing in this Undertaking is intended to affect the intellectual property rights of J&J and its related entities in the intellectual property relating to the Lomotil brand outside of Australia.

Monitoring Trustee means the Trustee appointed pursuant to the EC Commitments to monitor J&J's compliance with the conditions and obligations contained in the EC Commitments.

NPIL means NPIL Pharmaceuticals (UK) Limited.

NPIL Agreement means the provisions of the agreement between Pfizer Manufacturing Services (a company incorporated in Ireland) and NPIL pursuant to which NPIL manufactures products including Lomotil and Lofenoxal.

Pfizer means Pfizer, Inc, a company incorporated in Delaware, United States of America.

Pfizer Australia means Pfizer Australia Pty Limited (ACN 008 422 348).

Pfizer Consumer Healthcare Business means the worldwide business of developing, testing, manufacturing, distributing and selling non-prescription healthcare, personal care, cosmetic and related products, as defined in the Stock and Asset Purchase Agreement dated 25 June 2006 between J&J and Pfizer.

Pfizer Undertaking means the Undertaking given to the Commission by Pfizer Inc pursuant to section 87B of the Act, a copy of which is at Schedule 6 to this Undertaking.

Proposed Acquisition means the proposed acquisition by J&J of the Pfizer Consumer Healthcare Business from Pfizer.

Proposed Agent means a sales agent identified by J&J in accordance with subparagraph 47 of this Undertaking.

Proposed Vermox Manufacturing Facility means the manufacturing facility operated by Janssen-Cilag SPA in Latina, Italy, in relation to which J&J has sought approval from the Therapeutic Goods Administration to manufacture and supply Vermox-branded product.

Prospective Purchaser means a prospective purchaser of any of the Divestiture Brands or the ALZA Nicotine Patch Business as the case may be.

Related Body Corporate has the meaning given to it by the Act.

Statement of Issues means the Statement of Issues issued by the Commission on 28 November 2006.

Undertaking is a reference to all of the provisions of this document, including its Schedules.

Unsold Divestiture Brand means a Divestiture Brand in respect of which J&J has not complied with paragraph 21 of this Undertaking.

Vermox Sale means the transfer of the items listed in Schedule 4 to an Approved Purchaser, it being acknowledged that nothing in this Undertaking is intended to affect the intellectual property rights of J&J and its related entities in the intellectual property relating to the Vermox brand outside of Australia.

Construction

- 13 In the interpretation of a clause of this Undertaking, a construction that would promote the purpose or object underlying the Undertaking (whether that

purpose or object is expressly stated in the Undertaking or not) shall be preferred to a construction that would not promote that purpose or object.

- 14 In the interpretation of this Undertaking, material which is relevant to the competition issues raised by the Proposed Acquisition and which does not form part of this Undertaking, including the Commission's Statement of Issues, may be considered to:

- (a) confirm the meaning of a clause is the ordinary meaning conveyed by the text of the clause taking into account its context in the Undertaking and the competition concerns intended to be addressed by the Undertaking and the clause in question; or
- (b) determine the meaning of the clause when the ordinary meaning conveyed by the text of the clause taking into account its context in the Undertaking and the purpose or object underlying the Undertaking leads to a result that does not promote the purpose or object underlying the Undertaking.

- 15 In determining whether consideration should be given to any material in accordance with clause 14 or in considering any weight to be given to any such material, regard shall be had, in addition to any other relevant matters, to the:

- (a) effect that reliance on the ordinary meaning conveyed by the text of the clause would have (taking into account its context in the Undertaking and whether that meaning promotes the purpose or object of the Undertaking); and
- (b) the need to ensure that the Undertaking promotes competition.

- 16 In performing its obligations under this Undertaking, J&J will do everything reasonably within its power to ensure that its performance of those obligations is done in a manner which is consistent with promoting the purpose and object of the Undertaking.

- 17 Unless expressed to the contrary, in this document:

- (a) words in the singular include the plural and vice versa;
- (b) if a word or phrase is defined its other grammatical forms have corresponding meanings; and
- (c) "includes" means includes without limitation.

- 18 Unless expressed to the contrary, in this document a reference to:
- (a) a person includes a partnership, joint venture, unincorporated association, corporation and a government or statutory body or authority;
 - (b) a person includes the person's legal personal representatives, successors, assigns and persons substituted by novation;
 - (c) any legislation includes subordinate legislation under it and includes that legislation and subordinate legislation as modified or replaced; and
 - (d) an obligation includes a warranty or representation and a reference to a failure to comply with an obligation includes a breach of warranty or representation.
- 19 Headings do not affect the interpretation of this document.

Part 3: Commencement of Undertakings

- 20 This Undertaking comes into effect when:
- (a) the Undertaking is executed by J&J; and
 - (b) the Undertaking is executed and accepted by the Commission.

Part 4: Divestiture undertakings

Sale of Divestiture Brands

- 21 Subject to the provisions of Parts 6 and 7 of this Undertaking, J&J or a wholly owned subsidiary will complete the Divestiture Brand Sales within the Initial Sale Period.

Competitor facilitation

- 22 J&J will, at the request of the Approved Purchaser for the Vermox Sale, use its best endeavours to procure that the Approved Purchaser for the Vermox Sale secures a competitive source of supply of Vermox-branded products on reasonable commercial terms. Best endeavours include:
- (a) unless requested otherwise by the Approved Purchaser, pursuing diligently and in the shortest time possible all necessary approvals from

the Therapeutic Goods Administration for the Proposed Vermox Manufacturing Facility;

- (b) supplying the Approved Purchaser (within 3 months of obtaining the approvals in paragraph 22(a)) with the quantity of Vermox-branded product requested by the Approved Purchaser; and
- (c) assisting the Approved Purchaser for the Vermox Sale to gain any approvals, authorisations and licences necessary for it to obtain supply of Vermox-branded products for retail sale within Australia (regardless of whether the Approved Purchaser for the Vermox sale elects to manufacture, import and/or acquire from third parties Vermox-branded products).

23 In relation to paragraph 22(b), the supply by J&J (or one or more of its Related Bodies Corporate) to the Approved Purchaser must cease 2 years from the date on which the Vermox Sale is completed.

24 Notwithstanding paragraph 23, J&J will continue to supply Vermox-branded product to the Approved Purchaser on terms referred to in paragraph 22(b) for a further 12 months after the expiry of the two year period if:

- (d) the Approved Purchaser requests it; and
- (e) the reason for the Approved Purchaser's request is that it is unable to commence retailing Vermox-branded product sourced from an alternative supplier as a result of delay in obtaining the necessary approvals from the Therapeutic Goods Administration which delay is not caused by any act or omission of the Approved Purchaser.

25 J&J will, at the request of the Approved Purchaser for the Vermox Sale, provide reasonable assistance to the Approved Purchaser in transferring J&J's sponsorship of the Vermox brand on the Australian Register of Therapeutic Goods to the Approved Purchaser for the Vermox Sale.

26 Subject to paragraph 27 below, J&J will, within 5 Business Days of a request in writing from the Approved Purchaser(s) of the Lomotil Sale and the Lofenoxal Sale to do so:

- (a) request Pfizer to provide supply of Lomotil and Lofenoxal-branded products to the Approved Purchaser(s) of the Lomotil Sale and the Lofenoxal Sale upon the terms set out in the Pfizer Undertaking;
- (b) offer Pfizer the J&J Pfizer Indemnity; and

- (c) do all things within its control necessary to ensure Pfizer is able to comply with the Pfizer Undertaking including, but not limited to, ensuring access rights to intellectual property that are required for Pfizer to comply with its obligations under the Pfizer Undertaking.
- 27 Notwithstanding any request made by the Approved Purchaser in accordance with paragraph 26 above, J&J is only required to make a request under paragraph 26 in the event that none of the following occur:
- (a) that part of the NPIL Agreement relating to the Lomotil and Lofenoxal brands is assigned to J&J;
 - (b) that part of the NPIL Agreement relating to the Lomotil and Lofenoxal brands is assigned to the Approved Purchaser(s) of the Lomotil Sale and Lofenoxal Sale;
 - (c) NPIL and J&J enter into new arrangements for the supply of Lomotil and/or Lofenoxal-branded products;
 - (d) NPIL and the Approved Purchaser(s) of the Lomotil Sale and Lofenoxal Sale enter into new arrangements for the supply of Lomotil and/or Lofenoxal-branded products;
 - (e) J&J enters into new arrangements for the supply of Lomotil and Lofenoxal-branded products with an alternative supplier; or
 - (f) the Approved Purchaser(s) of the Lomotil Sale and Lofenoxal Sale enters into new arrangement for the supply of Lomotil and Lofenoxal-branded products with an alternative supplier.
- 28 In the event that of any of the circumstances described in paragraph 27 (a), (c), or (e) occur, J&J will supply the Approved Purchaser(s) of the Lomotil and Lofenoxal Sales with the quantities of Lomotil and/or Lofenoxal-branded products requested by the Approved Purchaser(s) at J&J's actual costs (being the price paid to J&J's supplier plus direct costs of delivery).
- 29 In relation to paragraph 28, the supply by J&J (or one or more of its Related Bodies Corporate) to the Approved Purchaser(s) must cease 2 years from the date(s) on which the Lomotil Sale and Lofenoxal Sales are completed.
- 30 Notwithstanding paragraph 29, J&J will continue to supply Lomotil and/or Lofenoxal-branded product to the Approved Purchaser on terms referred to in paragraph 28 for a further 12 months after the expiry of the two year period if:

- (a) the Approved Purchaser requests it; and
 - (b) the reason for the Approved Purchaser's request is that it is unable to commence retailing Lomotil and/or Lofenoxal-branded product sourced from an alternative supplier as a result of delay in obtaining the necessary approvals from the Therapeutic Goods Administration which delay is not caused by any act or omission of the Approved Purchaser.
- 31 When the Approved Purchaser(s) for the Lomotil Sale and Lofenoxal Sale obtains or seeks to obtain supply of these products from a source other than J&J, Pfizer or NPIL, J&J will use its best endeavours to procure that the Approved Purchaser(s) for the Lomotil Sale and Lofenoxal Sale secure a competitive source of supply of Lomotil and/or Lofenoxal-branded products, including by assisting the Approved Purchaser(s) for the Lomotil Sale and Lofenoxal Sale to gain any approvals, authorisations and licences necessary for it to obtain supply of Lomotil and/or Lofenoxal-branded products for retail sale within Australia (regardless of whether the Approved Purchaser(s) for the Lomotil Sale and Lofenoxal Sale elects to manufacture, import or acquire from third parties Lomotil and/or Lofenoxal-branded products).

Undertaking to comply with EC Commitments

- 32 J&J will comply with its commitment to divest the ALZA Nicotine Patch Business and related obligations pursuant to the EC Commitments.

Part 5: Divestiture Brand protection

Maintenance of Divestiture Brands

- 33 Until completion of the Divestiture Brand Sales, J&J will take all reasonable steps within its power and control as are necessary to:
 - (a) preserve the reputation and goodwill of each of the Divestiture Brands;
and
 - (b) maintain the standards of manufacture, distribution, promotion and sale of the Divestiture Brands as at the date of this Undertaking.

Part 6: Commission approval

Divestment to Approved Purchaser only

- 34 J&J must not sell, and must not authorise the Approved Agent or the Divestiture Trustee to sell, the Divestiture Brands or the ALZA Nicotine Patch Business to a purchaser other than an Approved Purchaser.

Approved Purchaser

- 35 An Approved Purchaser is a Prospective Purchaser that has not been objected to by the Commission within the objection period specified in paragraph 41 of this Undertaking.
- 36 To assist the Commission in deciding whether to approve a Prospective Purchaser of one or more of the Divestiture Brands, J&J will provide, or direct the Approved Agent to provide, the Commission with the following information and such other information that the Commission reasonably requests:
- (a) the name, address and other relevant contact details of the Prospective Purchaser;
 - (b) a copy of a signed conditional sale agreement with the Prospective Purchaser;
 - (c) a description of the business carried on in Australia by the Prospective Purchaser;
 - (d) the names of the ultimate holding company and directors of the Prospective Purchaser; and
 - (e) a statutory declaration by J&J attesting to:
 - (i) any current or likely contracts, arrangements or understandings between J&J (or its Related Bodies Corporate) and the Prospective Purchaser (or its Related Bodies Corporate); and
 - (ii) any contracts, arrangements or understandings between J&J (or its Related Corporate) and the Prospective Purchaser (or its Related Bodies Corporate) made or arrived at in the last 5 years,
- and such contracts, arrangements or understandings would include equity interests, joint ventures, supply arrangements, licensing

agreements, directorships and management positions in Australia and overseas.

- 37 J&J will provide or direct the Approved Agent to provide the information referred to in paragraph 36 of this Undertaking within 5 Business Days of J&J reaching a conditional sale agreement with a Prospective Purchaser of one or more of the Divestiture Brands.
- 38 To assist the Commission to decide whether to approve a Prospective Purchaser of the ALZA Nicotine Patch Business, J&J will provide, or direct the Divestiture Trustee to provide, the Commission with:
- (a) the material required by paragraph 36 of this Undertaking; and
 - (b) a copy of the EC Purchaser Proposal.
- 39 J&J will provide or direct the Divestiture Trustee to provide the material in paragraph 38 of this Undertaking within 2 Business Days of providing to the EC the EC Purchaser Proposal.
- 40 J&J will notify the Commission of the EC's decision in relation to the proposed divestiture of the ALZA Nicotine Patch Business within 2 Business Days of receiving notification from the EC of its decision.
- 41 The Prospective Purchaser becomes an Approved Purchaser for the purposes of this Undertaking if the Commission does not object to the Prospective Purchaser in accordance with paragraph 42:
- a. within 20 Business Days of receipt of the information from J&J (or the Approved Agent) referred to in paragraph 36 of this Undertaking;
 - b. within 18 Business Days of receipt of the information from J&J (or the Divestiture Trustee) referred to in paragraph 38 of this Undertaking; or
 - c. within such further period as the Commission and J&J may agree to in writing.
- 42 The Commission may object to the Prospective Purchaser on the basis the Commission has formed the view based on reasonable grounds, in its absolute discretion, that:
- (a) the Prospective Purchaser is not a person or corporation which is independent of J&J;

- (b) the Prospective Purchaser is not of good financial standing or does not have an intention to maintain the relevant Divestiture Brand(s) or ALZA Nicotine Patch Business; and
- (c) a sale of the relevant Divestiture Brand or the ALZA Nicotine Patch Business to the Prospective Purchaser is not likely to address the competition concerns identified by the Commission in its Statement of Issues,

and J&J will not contest the Commission's view.

- 43 In the event that the Commission objects to a Prospective Purchaser it will, on a confidential basis and within the time specified in paragraph 41 of this Undertaking, provide J&J with a written statement of its reasons including the material facts it relies on for its view.
- 44 In the event that the Commission objects to a Prospective Purchaser, J&J may identify or direct the Approved Agent or the Divestiture Trustee to identify to the Commission an alternative Prospective Purchaser (in accordance with paragraphs 36 and 37, or 38 and 39 of this Undertaking) for consideration by the Commission in accordance with paragraphs 41 and 42 of this Undertaking.

Part 7: Sale of Unsold Divestiture Brands

Sale by Approved Agent

- 45 In the event that a Divestiture Brand becomes an Unsold Divestiture Brand, J&J will within 2 Business Days of Commission approval of the Approved Agent appoint an Approved Agent to effect the sale of the particular Unsold Divestiture Brand.
- 46 The Approved Agent must be a person who is independent from J&J, and who has the qualifications and experience necessary to effect the sale of the Unsold Divestiture Brand.

Commission approval of Proposed Agent

- 47 Within 2 Business Days of the expiry of the Initial Sale Period, J&J will advise the Commission in writing of the identity of the Proposed Agent together with such information as J&J considers the Commission reasonably requires to assess whether the Commission is prepared to consent to the Proposed Agent.

- 48 If, within 10 Business Days of receipt by the Commission of the information from J&J referred to in paragraph 47 of this Undertaking:
- (a) the Commission does not object in writing to the Proposed Agent, the Proposed Agent will be deemed to be an Approved Agent and will be appointed by J&J as soon as practicable thereafter and a copy of the executed terms of appointment forwarded to the Commission within 2 Business Days of the appointment; or
 - (b) the Commission does object in writing to the Proposed Agent, J&J must either (at the Commission's election):
 - (i) identify within 10 Business Days an alternative to the Proposed Agent (in which case the provisions of paragraphs 47 and 48 of this Undertaking apply); or
 - (ii) appoint a nominee of the President of the Institute of Chartered Accountants of Australia as the Approved Agent.

Appointment of Approved Agent

- 49 Within 5 Business Days of the appointment of the Approved Agent, J&J must procure and/or grant the Approved Agent, by execution and provision of an unconditional and irrevocable power of attorney in favour of the Approved Agent, all necessary power and authority to implement the Lomotil Sale, Lofenoxal Sale and/or Vermox Sale, as applicable, and, subject to paragraph 50 of this Undertaking, to do so in a manner and on the terms considered appropriate by the Approved Agent, in its sole discretion, to ensure compliance with this Undertaking. In particular, the Approved Agent may include in Divestiture Brand Sale agreements such customary representations, warranties and indemnities as are reasonably required to effect the sale.
- 50 In appointing the Approved Agent, J&J must require that the Approved Agent use his or her best endeavours to complete the Lomotil Sale, Lofenoxal Sale and/or Vermox Sale, as applicable:
- (a) within 2 months of the appointment of the Approved Agent;
 - (b) in accordance with the provisions of part 6 of this Undertaking; and
 - (c) at the most favourable price and terms reasonably available to the Approved Agent at the time but subject to an absolute and

unconditional obligation to implement such Divestiture Brand Sale/s at any price.

Approved Agent Indemnity

- 51 J&J will indemnify, other than for fraud, breach of contract or breach of duty, the Approved Agent in the course of carrying out his or her functions in accordance with the terms of his or her appointment.

Provision of assistance to Approved Agent

- 52 J&J will provide the Approved Agent with:
- (a) all relevant information available to J&J; and
 - (b) all reasonable assistance,
- to enable the Approved Agent to implement the Lomotil Sale, Lofenoxal Sale and/or Vermox Sale, as applicable.

Part 8: Audit

Independent Auditor to monitor compliance

- 53 J&J will maintain the appointment of an Independent Auditor until the completion of all of the Divestiture Brand Sales.
- 54 The Independent Auditor must be independent of J&J.
- 55 J&J will use its best endeavours to maintain the appointment of KPMG as Independent Auditor.
- 56 Notwithstanding paragraph 55 of this Undertaking, J&J will terminate the appointment of the Independent Auditor if the Commission advises J&J in writing that it has formed the view that the Independent Auditor is not properly performing his or her functions.
- 57 In the event that the Independent Auditor resigns, or J&J terminates the appointment of the Independent Auditor in accordance with paragraph 56 of this Undertaking, J&J will promptly appoint another Independent Auditor who is either approved in writing by the Commission in accordance with paragraph 58 of this Undertaking or who is identified by the Commission in accordance with paragraph 59 of this Undertaking.

- 58 Within 5 Business Days of the resignation of the Independent Auditor or the termination of the Independent Auditor's appointment, J&J must submit the name and contact details of its choice of successor Independent Auditor to the Commission for approval.
- 59 In the event that the Commission does not, acting reasonably, approve J&J's choice of successor Independent Auditor, J&J must appoint an Independent Auditor nominated by the Commission.

Functions of Independent Auditor

- 60 J&J will require that the Independent Auditor provide to the Commission, with a copy to J&J, every 30 days from the date of this Undertaking until the completion of all of the Divestiture Brand Sales, a report including (without limitation):
- (a) the Independent Auditor's view of J&J's compliance with its obligations under Part 5 of this Undertaking;
 - (b) reasons for the conclusions reached in the report, including references to the supporting evidence;
 - (c) any assumptions made by the Independent Auditor in forming its view;
 - (d) any qualifications made by the Independent Auditor; and
 - (e) any recommendations made by the Independent Auditor to improve the integrity of the audit process.

Implementation of Independent Auditor recommendations

- 61 J&J undertakes to implement, within 10 Business Days of receiving the Independent Auditor's report, any recommendations made by the Independent Auditor in its report.
- 62 If J&J reasonably believes that the implementation required by paragraph 61 of this Undertaking is likely to take more than 10 Business Days, it must notify the Commission as soon as practicable in writing, stating:
- (a) the reasons why it believes the implementation will take more than 10 Business Days, including supporting evidence;
 - (b) the steps it is taking to implement the recommendations; and

- (c) an estimate of the date by which the recommendations will be fully implemented.

63 J&J will furnish the Commission with a report detailing the progress of implementing the Independent Auditor's recommendations every 10 Business Days until they are fully implemented or the Divestiture Brand Sales are complete.

Provision of access and assistance to Independent Auditor

64 J&J will cooperate fully with the Independent Auditor and will provide the Independent Auditor with such access, information and assistance as is necessary to enable the Independent Auditor to carry out his or her functions as set out in this Undertaking, including, without limitation:

- (a) access to officers, employees, representatives and agents of Australian J&J Subsidiaries for any relevant purpose, including to find out how J&J's obligations under Part 5 of this Undertaking are to be implemented and understood and J&J will direct those officers, employees or representatives to answer the Independent Auditor's questions honestly and comprehensively;
- (b) access to (to the extent it is within J&J's control) information about customers, and the customers themselves, in order to obtain information about customers' experience of J&J and its services and compliance with its obligations under Part 5 of this Undertaking; and
- (c) access to all the records of J&J, in whatever form, relevant to the Independent Auditor's inquiries and his or her duties under this Part 8.

65 J&J will authorise and pay for the Independent Auditor to engage any technical or other expertise as the Independent Auditor reasonably requires to conduct the audits.

Monitoring Trustee

66 J&J shall require the Monitoring Trustee to provide to the Commission a copy of all reports and other documents the Monitoring Trustee provides to the EC, to the extent relating to nicotine replacement therapy products, within 2 Business Days of providing the same material to the EC.

- 67 At the request of the Commission, J&J will provide to the Commission a copy of material that J&J has provided to the Monitoring Trustee, to the extent relating to nicotine replacement therapy products, within 2 Business Days of the Commission's request.
- 68 J&J shall require the Monitoring Trustee to cooperate with the Commission including by providing any information or documents within its control, to the extent that the Commission requests for the purpose of monitoring J&J's compliance with the EC Commitments that are pertinent to nicotine replacement products in Australia.
- 69 Except as required by law and subject to paragraph 74, the Commission will keep confidential any information provided to it by the Monitoring Trustee which is identified by J&J or the Monitoring Trustee as confidential and the Commission agrees is confidential and will not disclose such information to any party without the written consent of J&J and the Monitoring Trustee.

Part 9: General

Obligation to procure

- 70 Where the performance of an obligation under this Undertaking is imposed on J&J, if complete performance of the Undertaking requires a Related Body Corporate of J&J to take some action or refrain from taking some action, J&J will procure that Related Body Corporate to take that action or refrain from taking that action and, if necessary, will procure the offering by the Related Body Corporate to the Commission of undertakings on such identical terms to this Undertaking as are relevant to the actions which the Related Body Corporate is to take or refrain from taking.

Obligation to provide the Commission with information

- 71 J&J will provide the Commission with all information and documents that the Commission reasonably requires for the purpose of monitoring compliance with the Undertaking (and J&J acknowledges that the Commission is free to use such information for any purpose consistent with its functions as a regulator).
- 72 J&J will use its best endeavour to comply with any request for information by the Commission within 5 Business Days or such other period of time as may be agreed between J&J and the Commission.

- 73 Except as required by law and subject to paragraph 74, the Commission will keep confidential any information provided to it by J&J pursuant to this Part 9 which is identified by J&J as confidential and the Commission agrees is confidential and will not disclose the same to any party without the written consent of J&J.
- 74 In the event, referred to in paragraphs 69 and 73, that the Commission does not agree that information identified by J&J or the Monitoring Trustee as confidential is, in fact, confidential, J&J and the Commission agree to appoint a senior legal practitioner nominated by the President of the Law Society of New South Wales to determine the confidentiality of the particular information, which determination will not be contested by J&J or the Commission.

Severability

- 75 If for any reason a provision or provisions of this Undertaking are found to be unlawful, invalid or unenforceable, to the extent permitted by law, the remaining terms of the Undertaking remain in force.

Jurisdiction and Service of Process

- 76 J&J submits to the jurisdiction of the Federal Court of Australia.
- 77 Unless and until notified in writing by J&J to the Commission of the appointment of another law firm as agent within Australia, J&J irrevocably appoints Corrs Chambers Westgarth, of Level 36, Governor Phillip Tower, 1 Farrer Place, Sydney, NSW, 2000, Australia as their agent for the purposes of any service of process under this Undertaking.

Notices

- 78 Any notice or other communication given in relation to this Undertaking should be sent to the address or fax number given below:

J&J	Johnson & Johnson Pacific Pty Limited
	Attention: Mr Max Johnston, President and Chief Executive Officer
	45 Jones Street
	Ultimo NSW 2007
	Fax: (02) 8260 8290

With a copy to:

Corrs Chambers Westgarth

Attention: Ms Kathryn Edghill, Partner

Level 36, Governor Phillip Tower

1 Farrer Place

Sydney NSW 2000

Fax: (02) 9210 6611

Commission

Attention: Mr Tim Grimwade, General Manager,
Mergers and Asset Sales

Level 7, Angel Place

123 Pitt Street

Sydney NSW 2000

Fax: (02) 9223 1092

Acknowledgments

- 79 J&J acknowledges that this Undertaking in no way affects the rights and remedies available to any other person arising from the subject matter of the Undertaking.
- 80 J&J acknowledges that the Commission will make this Undertaking available for public inspection and that the Commission will, from time to time, publish and publicly refer to this Undertaking.

SIGNED for JOHNSON & JOHNSON



Signature of Witness



Officer

Thomas J. Spellman III

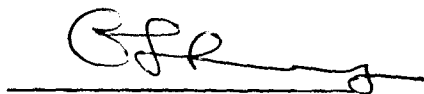
Name of Witness

John T. Crisan

Name of Officer Asst. Secretary

Date:

ACCEPTED by the AUSTRALIAN COMPETITION AND CONSUMER COMMISSION



Graeme Julian Samuel

Chairman

Australian Competition and Consumer Commission

Date: 21/12/06.

Schedule 1

EC Commitments

**Johnson & Johnson/Pfizer Consumer Healthcare
Case No. COMP/M.4314**

**Commitments to the European Commission
(J&J Commitments)**

Pursuant to Article 6(2) of Council Regulation (EC) No. 139/2004 (the "**Merger Regulation**"), Johnson & Johnson ("**J&J**") hereby provides the following commitments (the "**Commitments**") in order to enable the European Commission (the "**Commission**") to declare the acquisition of Pfizer Consumer Healthcare ("**PCH**") by J&J compatible with the Common Market and the EEA Agreement.

Pfizer will provide separate commitments limited to specific obligations pertaining to the Trosyd divestiture and the preservation of the viability, marketability and competitiveness of the Divestiture Businesses held by Pfizer prior to the closing of the J&J/PCH transaction. Pfizer will sign a separate undertaking to this effect. All other Commitments are given by J&J.

The Commitments shall take effect upon the date of adoption of the Commission Decision pursuant to Article 6(1)(b) of the Merger Regulation in this case (the "**Decision**") but the divestiture commitments in Section B shall be subject to the closing of J&J's acquisition of PCH.

This text shall be interpreted in the light of the Decision to the extent that the Commitments are attached as conditions and obligations, within the general framework of Community law, in particular the Merger Regulation and by reference to the Commission Notice on remedies acceptable under the Merger Regulation.

Section A. Definitions

For the purpose of the Commitments, the following terms shall have the following meaning:

Affiliated Undertakings: undertakings controlled by J&J, whereby the notion of control shall be interpreted pursuant to Article 3 of the Merger Regulation and in the light of the Commission Notice on the concept of concentration under the Merger Regulation.

ALZA: ALZA Corporation, an Affiliated Undertaking of J&J, incorporated under the laws of Delaware, with its registered office at 1900 Charleston Road, Mountain View, California 94943, U.S.A.

Closing: the transfer of the legal title of each Divestiture Business to the Purchaser.

Divestiture Businesses: the assets comprising the businesses that J&J commits to divest, as further defined in Section B and the attached Schedules (each respective business defined in the Schedules herein referred to as a "**Divestiture Business**").

Divestiture Trustee: one or more natural or legal person(s), independent from J&J or Pfizer, who is approved by the Commission and appointed by J&J and who has received from J&J the exclusive mandate to sell one or more of the Divestiture Businesses to a Purchaser at no minimum price.

Effective Date: the date of the Decision.

Extended Divestiture Period: [CONFIDENTIAL] from the date of expiry of the First Divestiture Period within which the Divestiture Trustee shall have the irrevocable and exclusive mandate from

J&J to sell those Divestiture Businesses for which a binding agreement is not yet concluded at the end of the First Divestiture Period.

First Divestiture Period: [CONFIDENTIAL] from the Effective Date within which J&J may conclude one or more binding agreements to sell the Divestiture Businesses before providing a mandate to the Divestiture Trustee.

Hold Separate Manager: the person appointed by J&J to manage the day-to-day business of a Divestiture Business that is held separate pursuant to paragraph 10, under the supervision of the Monitoring Trustee.

J&J: Johnson & Johnson, incorporated under the laws of New Jersey, with its registered office at One Johnson & Johnson Plaza, New Brunswick, New Jersey 08933, U.S.A.

Key Personnel: all personnel necessary to maintain the viability and competitiveness of a Divestiture Business, as listed in the applicable Schedule.

Monitoring Trustee: one or more natural or legal person(s), independent from the Parties, who is approved by the Commission and appointed by J&J, and who has the duty to monitor J&J's compliance with the conditions and obligations attached to the Decision.

PCH: Pfizer Consumer Healthcare, a division of Pfizer Inc., with its registered office at 201 Tabor Road, Morris Plains, New Jersey, NJ 07950, U.S.A.

Personnel: the personnel currently employed by the Divestiture Business, if applicable, as listed in the applicable Schedule.

Pfizer: Pfizer Inc., incorporated under the laws of Delaware, with its registered office at 235 East 42nd Street, New York, NY 10017, U.S.A.

Purchaser: with regard to each Divestiture Business, the undertaking approved by the Commission as acquirer of the Divestiture Business in accordance with the criteria set out in Section D.

Transitional Period: The transitional period defined in Section 4 of the Global Nicotine Patch Business Schedule and Section 4 of the International Nicotine Patch Business Schedule.

Trustee(s): the Monitoring Trustee and/or the Divestiture Trustee.

Section B. The divestiture commitment

Commitment to divest

1. In order to maintain or restore effective competition, J&J commits to divest, or procure the divestiture of, the Divestiture Businesses as going concerns to one or more Purchasers on terms of sale approved by the Commission in accordance with the procedure described in paragraph 19 (the "**Divestiture Commitment**"). J&J commits to do so by the end of the Extended Divestiture Period. To carry out each divestiture, J&J shall seek to find, for each Divestiture Business, a Purchaser and to enter into a final binding agreement for the sale of such Divestiture Business within the First Divestiture Period. If J&J has not entered into such an agreement at the end of the First Divestiture Period, J&J shall grant the Divestiture Trustee an exclusive mandate to sell the Divestiture Business within the Extended Divestiture Period in accordance with the procedure described in paragraph 29.
2. J&J shall be deemed to have complied with the Divestiture Commitment if, (i) by the end of the Extended Divestiture Period, J&J or an Affiliated Undertaking has entered into a final

binding sale and purchase agreement for each of the Divestiture Businesses; (ii) the Commission approves the Purchasers and the terms in accordance with the procedure described in paragraphs 18 and 19; and (iii) Closings take place in each case within a period not exceeding [CONFIDENTIAL] after the approval of the respective Purchaser and the terms of sale by the Commission.

3. In order to maintain the structural effect of the Divestiture Commitment, J&J shall, for a period of ten (10) years after the Effective Date, not acquire direct or indirect influence over the whole or part of any of the Divestiture Businesses, unless the Commission has previously found that the market structure has changed to such an extent that the absence of influence over the Divestiture Business in question is no longer necessary to render the proposed concentration compatible with the Merger Regulation.
4. In any event, the sale of any Divestiture Business must only occur if the J&J acquisition of PCH has closed.

The Divestiture Businesses

5. The Divestiture Businesses consist of the following:
 - (i) the Trosyd business in Italy (the "**Trosyd Divestiture**");
 - (ii) the ACT business in the EEA and Switzerland (the "**ACT Divestiture**");
 - (iii) either of two alternatives for the ALZA supply business of transdermal nicotine patches: J&J has the option to seek the Divestiture of ALZA's supply business of transdermal nicotine patches outside the U.S.A. Canada and Korea (the "**International Nicotine Patch Business Divestiture Alternative**") but commits that if a final binding agreement for the sale of this business is not concluded, in accordance with paragraph 1, by the end of [CONFIDENTIAL], it shall pursue the Divestiture of ALZA's worldwide nicotine patch supply business (the "**Global Nicotine Patch Business Divestiture Alternative**") within [CONFIDENTIAL];

each time as further defined in the relevant Schedule.

These businesses will be divested to one or more Purchaser(s).

6. The divestiture of the Divestiture Businesses will proceed by way of asset transactions (including transfer, sale, assignment, license, as the case may be and insofar as legally permissible). As a general rule, each divestiture transaction shall include the following elements, as more specifically defined in the relevant Schedule:
 - (i) all tangible and intangible assets (including the relevant intellectual property rights), by way of transfer, sale, assignment or license, which are necessary to ensure the viability and competitiveness of the Divestiture Business;
 - (ii) all licences, permits and authorisations issued by any governmental organisation for the benefit of the Divestiture Business;
 - (iii) all contracts, leases, commitments and customer orders of the Divestiture Business;
 - (iv) all customer, credit and other records of the Divestiture Business;hereinafter collectively referred to as "**Assets**")
 - (v) the Personnel, as further specified in the applicable Schedule;

- (vi) at the option of the Purchaser, transitional agreements with J&J or Affiliated Undertakings for the supply of products and/or technical assistance, as specified in the applicable Schedule.
7. For the avoidance of doubt, the Divestiture Businesses shall not include:
- (i) intellectual property rights which do not contribute to the current operation of the Divestiture Business;
 - (ii) the Johnson & Johnson, Pfizer, ALZA, McNeil names and logos in any form;
 - (iii) books and records required to be retained pursuant to any statute, rule, regulation or ordinance, provided that copies of such documents necessary for the Divestiture Business shall be provided to the Purchaser, upon request; and
 - (iv) general books of account and books of original entry that comprise J&J's or PCH's or an Affiliated Undertaking's permanent accounting or tax records provided that copies of such documents necessary for the Divestiture Business shall be provided to the Purchaser, upon request.

Section C. Related commitments

Preservation of viability, marketability and competitiveness

8. From the Effective Date (and if the Divestiture Business is a former PCH business from the date of closing of the J&J/PCH transaction) until Closing, J&J shall preserve the economic viability, marketability and competitiveness of each Divestiture Business, in accordance with good business practice, and shall minimise as far as possible any risk of loss of competitive potential. In particular J&J commits:
- (i) not to carry out any act upon its own authority that might have a significant adverse impact on the value, management or competitiveness of the Divestiture Business or that might alter the nature and scope of activity, or the industrial or commercial strategy or the investment policy of the Divestiture Business;
 - (ii) to make available sufficient resources for the development of the Divestiture Business, on the basis and continuation of the existing business plans;
 - (iii) to take all reasonable steps, including appropriate incentive schemes (based on industry practice), to encourage Key Personnel to remain with the Divestiture Business, if applicable.

Hold separate obligations

9. J&J commits, from the Effective Date (and if the Divestiture Business is a former PCH business from the date of closing of the J&J/PCH transaction) until Closing and subject to paragraph 8, to (i) keep the Divestiture Business separate from the businesses it is retaining; (ii) ensure that Key Personnel (if applicable) of the Divestiture Business - including the Hold Separate Manager - have no involvement in any retained business and vice versa; and (iii) ensure that the Personnel do not report to any individual outside the Divestiture Business (if applicable).
10. Prior to Closing, J&J shall assist the Monitoring Trustee in ensuring that the Divestiture Business is managed as a distinct and saleable entity or group of assets separate from the businesses it is retaining. J&J shall also appoint (a) Hold Separate Manager(s) who shall

be responsible for the management of the Divestiture Businesses, under the supervision of the Monitoring Trustee. The Hold Separate Manager shall manage the Divestiture Business in the best interest of the business with a view to ensuring its continued economic viability, marketability and competitiveness and its independence from the businesses retained by J&J.

11. With regard to the Global or International Nicotine Patch Business Divestiture Alternatives only, the hold separate obligations referred to in paragraphs 9 and 10 shall continue until the end of the Transitional Period.

Ring-fencing

12. J&J shall implement all necessary measures to ensure that it does not after the Effective Date obtain any business secrets, know-how, commercial information, or any other information of a confidential or proprietary nature relating to the Divestiture Businesses. However, J&J may obtain information relating to such Divestiture Business which is reasonably necessary for the divestiture of the Divestiture Business or whose disclosure to J&J is required by law.
13. The participation of the ALZA Nicotine Patch Business in a central information technology network shall be severed to the extent possible, without compromising the viability of the Nicotine Patch Business.

Non-solicitation clause

14. J&J undertakes, subject to customary limitations, not to solicit, and to procure that Affiliated Undertakings do not solicit, the Key Personnel transferred with any Divestiture Business for a period of [CONFIDENTIAL] after Closing.

Due diligence

15. In order to enable potential purchasers to carry out a reasonable due diligence of the Divestiture Businesses, J&J shall, subject to customary confidentiality assurances and dependent on the stage of the divestiture process, (i) provide to potential purchasers sufficient information as regards the relevant Divestiture Business; and (ii) provide to potential purchasers sufficient information relating to the Personnel and allow them reasonable access to the Personnel, if applicable.

Reporting

16. J&J shall submit written reports in English to the Commission and the Monitoring Trustee on potential purchasers of the Divestiture Businesses and developments in the negotiations with such potential purchasers. It shall do so no later than ten (10) days after the end of every month following the Effective Date (or otherwise at the Commission's request).
17. J&J shall inform the Commission and the Monitoring Trustee on the preparation of data room documentation and the due diligence procedure and shall submit a copy of any information memorandum to the Commission and the Monitoring Trustee before sending the memorandum out to potential purchasers.

Section D. The Purchaser

18. In order to ensure the maintenance or immediate restoration of effective competition, the Purchaser, in order to be approved by the Commission, must:
- (i) be independent of and unconnected to J&J ;
 - (ii) have the financial resources, proven expertise and incentive to maintain and develop the Divestiture Business as a viable and active competitive force in competition with J&J and other competitors;
 - (iii) neither be likely to create, in the light of the information available to the Commission, *prima facie* competition concerns nor give rise to a risk that the implementation of the Divestiture Commitment will be delayed, and must, in particular, reasonably be expected to obtain all necessary approvals from the relevant regulatory authorities for the acquisition of the Divestiture Business

(the before-mentioned criteria for the purchaser are hereafter referred to as the "**Purchaser Requirements**").

With regard to the Trosyd Divestiture and the Nicotine Patch Business Divestiture Alternatives, further specifications to the Purchaser Requirements mentioned under (ii) above are provided in the respective Schedules.

19. The final binding sale and purchase agreement shall be conditional on the Commission's approval. When J&J has reached an agreement with a Purchaser, it shall submit a fully documented and reasoned proposal, including a copy of the final agreement(s), to the Commission and the Monitoring Trustee. J&J must be able to demonstrate to the Commission that the Purchaser meets the Purchaser Requirements and that the Divestiture Business is being sold in a manner consistent with the Divestiture Commitment. For the approval, the Commission shall verify that the Purchaser fulfils the Purchaser Requirements and that the Divestiture Business is being sold in a manner consistent with the Divestiture Commitment. In the event that J&J receives offers from more than one potential purchaser which, upon verification by the Commission, fulfil the Purchaser Requirements, J&J shall be free to take whichever offer that J&J deems the most appropriate to its interests. The Commission may approve the sale of the Divestiture Business without one or more assets or members of the Personnel, if this does not affect the viability and competitiveness of the Divestiture Business after the sale, taking account of the proposed Purchaser.

Section E. Trustee

I. Appointment procedure

20. J&J shall appoint a Monitoring Trustee to carry out the functions specified below with regard to the Monitoring Trustee.
21. If J&J has not entered into a binding sale and purchase agreement one (1) month before the end of the First Divestiture Period or if the Commission has rejected a Purchaser proposed by J&J at that time or thereafter, J&J shall appoint a Divestiture Trustee to carry out the functions specified below with regard to the Divestiture Trustee. The appointment of the Divestiture Trustee shall take effect upon the commencement of the Extended Divestiture Period.

22. The Trustee(s) shall be independent of J&J or Pfizer, possess the necessary qualifications to carry out its mandate, for example as an investment bank or consultant or auditor, and shall neither have nor become exposed to a conflict of interest. The Trustee(s) shall be remunerated by J&J in a way that does not impede the independent and effective fulfilment of its mandate. In particular, where the remuneration package of a Divestiture Trustee includes a success premium linked to the final sale value of the Divestiture Business, the fee shall also be linked to a divestiture within the Extended Divestiture Period.

Proposal by J&J

23. No later than one (1) week after the Effective Date, J&J shall submit to the Commission for approval a list of one or more persons whom J&J proposes to appoint as the Monitoring Trustee. No later than one (1) month before the end of the First Divestiture Period, J&J shall submit to the Commission for approval a list of one or more persons whom J&J proposes to appoint as Divestiture Trustee. The proposal shall contain sufficient information for the Commission to verify that the proposed entities fulfil the requirements set out in paragraph 22 and shall include:
- (i) the full terms of the proposed mandate, which shall include all provisions necessary to enable the Trustee to fulfil its duties under these Commitments;
 - (ii) the outline of a work plan which describes how the Trustee intends to carry out its assigned tasks;
 - (iii) an indication whether the proposed Trustee is to act as both Monitoring Trustee and Divestiture Trustee or whether different Trustees are proposed for the two functions.

Approval or rejection by the Commission

24. The Commission shall have the discretion to approve or reject the proposed Trustee(s) and to approve the proposed mandate subject to any modifications it deems necessary for the Trustee to fulfil its obligations. If only one name is approved, J&J shall appoint or cause to be appointed, the individual or institution concerned as Trustee, in accordance with the mandate approved by the Commission. If more than one name is approved, J&J shall be free to choose the Trustee to be appointed from among the names approved. The Trustee shall be appointed within one week of the Commission's approval, in accordance with the mandate approved by the Commission.

New proposal by J&J

25. If all the proposed Trustees are rejected, J&J shall submit the names of at least two (2) more individuals or institutions within one (1) week of being informed of the rejection, in accordance with the requirements and the procedure set out in paragraph 23.

Trustee nominated by the Commission

26. If all further proposed Trustees are rejected by the Commission, the Commission shall nominate a Trustee, whom J&J shall appoint, or cause to be appointed, in accordance with a trustee mandate approved by the Commission.

II. Functions of the Trustee

27. The Trustee shall assume its specified duties in order to ensure compliance with the Commitments. The Commission may, on its own initiative or at the request of the Trustee or J&J, give any orders or instructions to the Trustee in order to ensure compliance with the conditions and obligations attached to the Decision.

Duties and obligations of the Monitoring Trustee

28. The Monitoring Trustee shall:
- (a) propose in its first report to the Commission a detailed work plan describing how it intends to monitor compliance with the obligations and conditions attached to the Decision.
 - (b) oversee the ongoing management of each Divestiture Business with a view to ensuring its continued economic viability, marketability and competitiveness and monitor compliance with the conditions and obligations attached to the Decision, and in particular shall:
 - (i) monitor the preservation of the economic viability, marketability and competitiveness of the Divestiture Businesses in accordance with paragraph 8;
 - (ii) ensure that the Divestiture Business is kept separate from the businesses retained by J&J, in accordance with paragraph 9;
 - (iii) supervise the management of the Divestiture Business as a distinct and saleable entity, in accordance with paragraph 10;
 - (iv) supervise the implementation of the transitional supply and technical assistance arrangements with regard to the Nicotine Patch Business divestiture as well as the implementation of compliance with the firewall arrangements with regard to that divestiture;
 - (v) in consultation with J&J, determine all necessary measures to ensure that the competitive businesses retained by J&J does not after the Effective Date obtain any business secrets, know-how, commercial information, or any other information of a confidential or proprietary nature relating to that Divestiture Business, in particular strive for the severing of the Divestiture Business' participation in a central information technology network to the extent possible, without comprising the viability of the Divestiture Business, and decide whether such information may be disclosed to J&J as its disclosure is reasonably necessary to allow J&J to carry out the divestiture or as the disclosure is required by law;
 - (vi) monitor the splitting of assets and the allocation of Personnel (if applicable) between the Divestiture Business and J&J or Affiliated Undertakings.
 - (c) assume the other functions assigned to the Monitoring Trustee under the conditions and obligations attached to the Decision, including the monitoring of the implementation of the technical assistance agreement and the supply agreement referred to in the Schedules with regard to the ALZA Nicotine Patch Business.

- (d) propose to J&J such measures as the Monitoring Trustee considers necessary to ensure J&J's compliance with the conditions and obligations attached to the Decision, in particular the maintenance of the full economic viability, marketability or competitiveness of the Divestiture Businesses, the holding separate of Divestiture Businesses and the non-disclosure of competitively sensitive information.
- (e) review and assess potential purchasers as well as the progress of the divestiture process and verify that, dependent on the stage of the divestiture process, (i) potential purchasers receive sufficient information relating to the Divestiture Business and the Personnel, in particular by reviewing, if available, the data room documentation, the information memorandum and the due diligence process, and (ii) potential purchasers are granted reasonable access to the Personnel.
- (f) provide to the Commission a written report within fifteen (15) days after the end of every month, and send J&J a non-confidential copy at the same time. The report shall cover the operation and management of the Divestiture Business so that the Commission can assess whether the business is held in a manner consistent with the Commitments and the progress of the divestiture process as well as potential purchasers. In addition to these reports, the Monitoring Trustee shall promptly report in writing to the Commission, sending J&J a non-confidential copy at the same time, if it concludes on reasonable grounds that J&J is failing to comply with these Commitments.
- (g) within one week after receipt of the documented proposal referred to in paragraph 19, submit to the Commission a reasoned opinion as to the suitability and independence of the proposed purchaser and the viability of the Divestiture Business after the sale and as to whether the Divestiture Business is sold in a manner consistent with the conditions and obligations attached to the Decision, in particular, if relevant, whether the sale of the Divestiture Business without one or more assets or not all of the Personnel affects the viability of the Divestiture Business after the sale, taking account of the proposed purchaser.

Duties and obligations of the Divestiture Trustee

- 29. Within the Extended Divestiture Period, the Divestiture Trustee shall sell at no minimum price any Divestiture Business that remains unsold to a Purchaser, provided that the Commission has approved both the Purchaser and the final binding sale and purchase agreement in accordance with the procedure laid down in paragraph 19. The Divestiture Trustee shall include in the sale and purchase agreement such terms and conditions as it considers appropriate for an expedient sale in the Extended Divestiture Period. In particular, the Divestiture Trustee may include in the sale and purchase agreement such customary representations and warranties and indemnities as are reasonably required to effect the sale. The Divestiture Trustee shall protect the legitimate financial interests of J&J, subject to J&J's unconditional obligation to divest at no minimum price in the Extended Divestiture Period.
- 30. In the Extended Divestiture Period (or otherwise at the Commission's request), the Divestiture Trustee shall provide the Commission with a comprehensive monthly report written in English on the progress of the divestiture process. Such reports shall be submitted within fifteen (15) days after the end of every month with a simultaneous copy to the Monitoring Trustee and a non-confidential copy to J&J.

III. Duties and obligations of J&J

31. J&J shall provide, and shall cause its advisors to provide, the Trustee with all such co-operation, assistance and information as the Trustee may reasonably require to perform its tasks. The Trustee shall have full and complete access to any of J&J's, its Affiliated Undertakings', or the Divestiture Business' books, records, documents, management or other personnel, facilities, sites and technical information necessary for fulfilling its duties under the Commitments and J&J and the Divestiture Business shall provide the Trustee upon request with copies of any document. The Trustee shall agree in writing to keep any confidential information and business secrets disclosed to it in confidence, except to the extent necessary to perform its duties hereunder. J&J, its Affiliated Undertakings, or the Divestiture Business shall make available to the Trustee one or more offices on its premises and shall be available for meetings in order to provide the Trustee with all information necessary for the performance of its tasks.
32. J&J shall provide the Monitoring Trustee with all managerial and administrative support that it may reasonably request on behalf of the management of the Divestiture Business. This shall include all administrative support functions relating to the Divestiture Business which are currently carried out at headquarters level. J&J shall provide and shall cause its advisors to provide the Monitoring Trustee, on request, with the information submitted to potential purchasers, in particular give the Monitoring Trustee access to the data room documentation and all other information granted to potential purchasers in the due diligence procedure. J&J shall inform the Monitoring Trustee on possible purchasers, submit a list of potential purchasers, and keep the Monitoring Trustee informed of all developments in the divestiture process.
33. J&J shall grant or procure Affiliated Undertakings to grant comprehensive powers of attorney, duly executed, to the Divestiture Trustee to effect the sale during the Extended Divestiture Period, the Closing and all actions and declarations which the Divestiture Trustee considers necessary or appropriate to achieve the sale and the Closing, including the appointment of advisors to assist with the sale process. Upon request of the Divestiture Trustee, J&J shall cause the documents required for effecting the sale and the Closing to be duly executed.
34. J&J shall indemnify the Trustee and its employees and agents (each an "Indemnified Party") and hold each Indemnified Party harmless against, and hereby agrees that an Indemnified Party shall have no liability to J&J for, any liabilities arising out of the performance of the Trustee's duties under the Commitments, except to the extent that such liabilities result from the wilful default, recklessness, gross negligence or bad faith of the Trustee, its employees, agents or advisors.
35. At the expense of J&J, the Trustee may appoint advisors (in particular for corporate finance or legal advice), subject to J&J's approval (this approval not to be unreasonably withheld or delayed) if the Trustee considers the appointment of such advisors necessary or appropriate for the performance of its duties and obligations under the trustee mandate, provided that any fees and other expenses incurred by the Trustee are reasonable. Should J&J refuse to approve the advisors proposed by the Trustee the Commission may approve the appointment of such advisors instead, after having heard J&J. Only the Trustee shall be entitled to issue instructions to the advisors. Paragraph 34 shall apply *mutatis mutandis*. In the Extended Divestiture Period, the Divestiture Trustee may use advisors who served J&J during the Divestiture Period if the Divestiture Trustee considers this in the best interest of an expedient sale.

IV. Replacement, discharge and reappointment of the Trustee

36. If the Trustee ceases to perform its functions under the Commitments or for any other good cause, including the exposure of the Trustee to a conflict of interest:
- (i) The Commission may, after hearing the Trustee, require J&J to replace the Trustee; or
 - (ii) J&J, with the prior approval of the Commission, may replace the Trustee.
37. If the Trustee is removed according to paragraph 36, the Trustee may be required to continue in its function until a new Trustee is in place to whom the Trustee has effected a full handover of all relevant information. The new Trustee shall be appointed in accordance with the procedure referred to in paragraphs 20 through 26.
38. Beside the removal according to paragraph 36, the Trustee shall cease to act as Trustee only after the Commission has discharged it from its duties after all the Commitments with which the Trustee has been entrusted have been implemented. However, the Commission may at any time require the reappointment of the Monitoring Trustee if it subsequently appears that the relevant remedies might not have been fully and properly implemented.

Section F. Dispute resolution

39. Should a dispute arise between J&J and the Purchaser regarding the implementation of any term of the technical assistance agreement or the supply arrangement referred to in ALZA Nicotine Patch Business Schedule, such dispute shall be submitted to a fast track resolution procedure (the **"Fast Track Resolution Procedure"**).
40. The Fast Track Resolution Procedure will operate as follows:
- (i) The party who seeks to initiate the Procedure (the **"Initiating Party"**) shall notify the other party (the **"Other Party"**) of its request and specify the reasons why it believes that a failure by the Other Party to meet such request would be inconsistent with these Commitments.
 - (ii) The Purchaser and J&J (including the relevant Affiliated Undertaking) shall use their best efforts to resolve all differences of opinion and to settle all disputes that may arise through co-operation and consultation within a reasonable period of time not to exceed fifteen (15) calendar days.
 - (iii) Should the Purchaser and J&J fail to resolve their differences of opinion through co-operation and consultation, the Initiating Party shall within seven (7) days initiate an arbitration process.
 - (iv) To initiate the arbitration process, the Initiating Party shall give written notice to the Other Party nominating an arbitrator and stating the specific nature of the claim, the factual basis of its position and the relief requested. In such case, the Other Party shall appoint another arbitrator within fourteen (14) calendar days after receipt of the written notice. The arbitrators so appointed shall appoint a third arbitrator to be president of the arbitration tribunal within seven (7) calendar days after both arbitrators have been nominated. If the arbitrators nominated by the Purchaser and J&J cannot agree on the nomination of a third arbitrator, they shall request that the London Court of International Arbitration appoint the third arbitrator.

- (v) Any of the arbitrators will be entitled to request any relevant information from the Purchaser, J&J or the relevant Affiliated Undertaking. The arbitrators shall agree in writing to keep any confidential information and business secrets disclosed to them in confidence. Throughout these Commitments the standards attributed to confidential information and business secrets are those as set out in accordance with European Community law.
 - (vi) The burden of proof in any dispute governed by this Section shall be as follows: (i) the Initiating Party must produce evidence of a prima facie case, and (ii) if the Initiating Party produces evidence of a prima facie case, the arbitrators must find in favour of the Initiating Party unless the Other Party can produce evidence to the contrary.
 - (vii) The arbitration procedure shall follow the Rules of the London Court of International Arbitration. The arbitration shall be conducted in London. The language of the arbitration shall be English. In the event of disagreement between the parties to the arbitration regarding the interpretation of the Commitments, the arbitrators shall inform the Commission and may seek the Commission's interpretation of the Commitments before finding in favour of any party to the arbitration. The Commission may, at any time, issue a submission during the arbitration procedure
 - (viii) The arbitration award shall, in addition to dealing with the merits of the claim, impose the fees and costs of the prevailing party upon the party that is unsuccessful.
 - (ix) Decisions of the arbitrators shall be final and binding on all persons submitting to arbitration.
 - (x) Nothing in the above-described arbitration procedure shall affect the powers of the Commission to take decisions in relation to the Commitments in accordance with its powers under the Merger Regulation and the EC Treaty.
41. The parties shall report to the Commission any matters which the Commission reasonably requests in order to determine whether the parties have complied with the present commitments with regard to dispute resolution. Any such report shall be sent to the Commission within fifteen (15) working days from the date the Commission makes a request.

Section G. The review clause

42. The Commission may, where appropriate, in response to a request from J&J showing good cause and accompanied by a report from the Monitoring Trustee:
- (i) grant an extension of the time periods foreseen in the Commitments; or
 - (ii) waive, modify or substitute, in exceptional circumstances, one or more of the conditions or obligations in these Commitments.
43. Where J&J seeks an extension of a time period, it shall submit a request to the Commission no later than one (1) month before the expiry of that period, showing good cause. Only in exceptional circumstances shall J&J be entitled to request an extension within the last month of any period.

44. If the approval of the J&J/PCH merger by another antitrust authority is made subject to requirements that (i) are potentially inconsistent with these Commitments or (ii) would, when combined with the obligations in these Commitments, result in the divestiture of assets or businesses beyond that which is necessary to maintain or restore effective competition in the EEA, J&J may request a review and adjustment of these Commitments in order to avoid such inconsistencies or obligations beyond those necessary to restore effective competition.

Name: [CONFIDENTIAL]
Title: [CONFIDENTIAL]
for and on behalf of Johnson & Johnson
Date: 6 December 2006

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Case No COMP/M.4314 - J&J/Pfizer Consumer Healthcare

**Nicotine Patch Commitment
Global Nicotine Patch Business
Schedule**

1. This Divestment Business consists of the worldwide assets and personnel directly and predominantly associated with the manufacture and supply of ALZA's transdermal nicotine patch (the "Global Nicotine Patch Business"). The ALZA transdermal nicotine patch products will be referred to hereafter as the "Nicotine Patch Products".
2. Following paragraph 6 of the J&J Commitments, the Global Nicotine Patch Business includes but is not limited to:
 - (a) the following main tangible assets:
 - (i) ALZA's inventory of finished Nicotine Patch Products.
 - (ii) [CONFIDENTIAL]
 - (iii) At the option of the Purchaser, all production equipment necessary for the manufacture of Nicotine Patch Products ("Major Equipment"), as listed in the attached Annex 2.
 - (iv) At the option of the Purchaser, all other equipment, ancillary to the Major Equipment, used in the manufacture of the Nicotine Patch Products.
 - (v) Copies of all technical files and drawings, product and production specifications, manufacturing process descriptions, packaging specifications, quality control documents, stability reports, validation documents and other regulatory records. These technical files are listed at Annex 3.
 - (vi) Copies of all data results and records of clinical trials relevant to the Nicotine Patch Products.
 - (vii) Copies of all books, ledgers and other business records related to the Global Nicotine Patch Business.
 - (viii) Copies of any and all other materials that are specific to the Nicotine Patch Products.
 - (b) the following main intangible assets, to the extent they are owned or licensed by ALZA:
 - (i) The assignment of all relevant trademarks insofar as owned by ALZA. These are listed in Annex 4.
 - (ii) The grant of a perpetual and irrevocable licence to use any intellectual property rights (including patents, patent applications, technology, trade secrets, inventions and know-how) which ALZA currently holds and uses in connection with the Nicotine Patch Products, as listed in Annex 5 (the "Licensed Technology"). This licence shall be exclusive with respect to transdermal patch formulations of nicotine or nicotine in combination with other compounds and non-exclusive with respect to transdermal patch formulations of any other compound. This licence shall include the right to sublicense. Both the exclusive and non-exclusive licences are subject to any pre-existing third party rights (e.g., as a result of patent settlements, or licences to other parties) at the Effective Date and the non-exclusive licence excludes use for products

that ALZA, or an affiliated undertaking, has commercialised, itself or through a commercial partner, or has in active development at the Effective Date. For the avoidance of doubt, J&J shall continue to have the right to exploit the Licensed Technology for any purposes other than the development, manufacture and supply of transdermal nicotine patches (including the right to grant licences for any fields of use other than transdermal nicotine patches).

- (iii) The grant of a perpetual, irrevocable and non-exclusive right to use any improvements (including under patents and know-how) relating to the Licensed Technology which arise up to the date of Closing. Such rights are subject to pre-existing third party rights and the same exclusions apply as under (ii). For the avoidance of doubt, J&J shall continue to have the right to exploit the Licensed Technology for any purposes other than the development, manufacture and supply of transdermal nicotine patches (including the right to grant licences for any fields of use other than transdermal nicotine patches).
- (c) To the extent legally transferable (by way of assignment or licence), all licences, permits and other governmental authorisations and registrations [CONFIDENTIAL] and others relating predominantly to the Global Nicotine Patch Business. If such licences, permits, authorisations or registrations are not legally transferable or do not predominantly relate to the Nicotine Patch Products, J&J (or an Affiliated Undertaking) shall reasonably assist the Purchaser in obtaining the necessary licences, permits, authorisations or registrations or other approvals in connection with the Purchaser operating [CONFIDENTIAL]. The licences which ALZA currently holds are listed in Annex 6.
- (d) At the option of the Purchaser, the assignment of ALZA's contracts (or portions thereof) with suppliers of raw materials for the manufacture of the Nicotine Patch Products, to the extent they are assignable. If such contracts are not automatically assignable, in whole or in part, ALZA shall use reasonable efforts to obtain consent to assign or shall introduce the Purchaser to the relevant supplier in order that a new supply agreement may be entered into. If ALZA is unable to obtain consent to assign an agreement and the Purchaser is unable to enter into a new agreement, ALZA shall enter into a back-to-back arrangement, under the existing supply agreement, with the Purchaser in order to enable the Purchaser to procure the relevant raw material. These supply contracts are listed in Annex 7.
- (e) To the extent legally assignable, assignment of the relevant agreements with downstream customers (GSK, Sanofi-Aventis, PCH), as listed in Annex 8. If such contracts are not assignable without consent of the other party, ALZA shall make reasonable efforts to obtain such consent. Absent such consent, J&J shall cause ALZA to enter into a supply arrangement with the Purchaser whereby ALZA shall source the Nicotine Patch Products from the Purchaser on a reasonable cost plus basis to be agreed with the Purchaser and shall continue to supply such products to the relevant customer. J&J shall cause ALZA to renounce certain of its rights under the GSK Distribution Agreement (but not the rights of any of its assignees) and enter into additional obligations, for as long as ALZA remains a party to that agreement (that is until Closing). These supplemental waivers and obligations are set out in Annex 12. For the avoidance of doubt, Annex 12 shall only apply to ALZA and does not apply to the assignee of the GSK Distribution Agreement.
- (f) The Personnel, which are located at Cashel, as further specified in Annex 9. J&J shall not solicit those Personnel located at Cashel during the Transitional Period. Those Personnel listed in Annex 9, which are located at Vacaville shall be made available for transfer. This means that J&J shall cause ALZA to provide the Purchaser with the opportunity to enter into

employment contracts with such staff, (b) not interfere with the Purchaser's hiring, employing, or contracting of such staff, (c) remove any impediments within the control of ALZA that may deter such staff from accepting an employment relationship with the Purchaser, and (d) eliminate any provisions of any relevant employment contracts with ALZA that have the potential to interfere with such employees' ability to perform work related to the Nicotine Patch Products.¹

- (g) J&J shall cause ALZA to incentivise (in accordance with normal business practices) the Key Personnel [CONFIDENTIAL], as listed in Annex 10A, to continue employment with the Purchaser. At the option of the Purchaser, J&J shall cause ALZA to incentivise (in accordance with normal business practices) the other Personnel, as listed in Annex 10B, to take up employment with the Purchaser.
 - (h) Any R&D assets (excluding intellectual property: this is dealt with in Section 2(b)(ii) and (iii) above) predominantly associated with the Global Nicotine Patch Business (under the form of a non-exclusive licence if those assets pertain also to other ALZA products), in particular, to the extent legally transferable, any rights to development projects with regard to the Nicotine Patch Products, whether they are finished or still ongoing up to the date of full transfer of the worldwide manufacturing.
 - (i) At the request of the Purchaser, J&J shall cause ALZA to make available several of the ALZA employees and former employees who are, or were, primarily dedicated to research and development as regards ALZA's D-TRANS transdermal patch technology platform to take up employment with the Purchaser. The titles of those R&D employees are listed at Annex 11.
 - (j) For the avoidance of doubt, the Global Nicotine Patch Business shall not include:
 - (i) Ancillary manufacturing equipment that is customised for the particular configuration of, and "built-in" to either the Vacaville or Cashel manufacturing facility ([CONFIDENTIAL]). As regards such equipment, J&J shall cause ALZA to use reasonable efforts to assist the Purchaser to purchase any new equipment required.
 - (ii) Ancillary manufacturing equipment that is shared with other manufacturing lines in ALZA's Vacaville or Cashel manufacturing facilities and cannot be transferred, including laboratory, warehouse, facilities, calibration and information management equipment ([CONFIDENTIAL]). Such equipment is commonly found and used in most existing pharmaceutical manufacturing enterprises, or would be built into any new facility. J&J shall cause ALZA to use reasonable efforts to assist the Purchaser to purchase any new equipment required.
 - (iii) The right to use the ALZA or J&J names and logos of any affiliate in the Johnson & Johnson Family of Companies.
 - (k) In the event that materials to be transferred contain information that is confidential to J&J's retained businesses, these shall be redacted as appropriate.
3. J&J commits that the assets to be transferred are sufficient for the Purchaser to operate the divested business as a viable and independent business.
4. J&J shall cause ALZA to provide the following transitional supply and technical assistance services during a period of [CONFIDENTIAL] years from Closing. This period can be

¹ For the avoidance of doubt, this does not include the waiver of confidentiality provisions set out in the employment contracts to the extent that those relate to other confidential J&J information.

extended by the Monitoring Trustee until such time that the Purchaser has established the Global Nicotine Patch Business as a viable and independent business at premises independent from J&J/ALZA, as certified by the Monitoring Trustee (the "Transitional Period").

- (i) J&J shall cause ALZA to provide technical assistance (including appropriate training of the Purchaser's employees) required by the Purchaser regarding the construction, installation, qualification and validation of suitable manufacturing equipment and facilities, on a reasonable cost plus basis to be agreed with the Purchaser.
 - (ii) J&J shall cause ALZA to provide the Purchaser with contract manufacturing services for the Purchaser's requirements of the Nicotine Patch Products on terms consistent with the principles set out in Annex 13 for the Transitional Period.
- 5. J&J shall comply with the Firewall Principles in Annex 14 for the duration of the Transitional Period.
- 6. The transitional technical assistance agreement referred to above shall include appropriate provisions designed to incentivise J&J to provide technical assistance to the Purchaser expeditiously. These provisions may include terms whereby the price payable by the Purchaser for technical assistance is reduced over time. J&J shall cause ALZA to carry out the technical assistance for the technology transfer in accordance with good industry practice including as regards the timing and responsiveness with which this assistance is provided throughout the different stages of the transfer.
- 7. The transitional technical assistance agreement and the transitional supply arrangements referred to above shall include the Fast Track Resolution Procedure provisions set out in the J&J Commitments and will be subject to the supervision of the Monitoring Trustee for as long as these agreements remain in place.
- 8. At the option of the Purchaser, J&J shall cause ALZA to conduct R&D for the Purchaser in order to develop improvements to the Nicotine Patch Products on a reasonable cost plus basis to be agreed with the Purchaser following Closing for a period of [CONFIDENTIAL] years.
- 9. With regard to the Purchaser Requirements referred to in paragraph 18 of the J&J Commitments, it is further specified that the Purchaser must have:
 - (i) sufficient capability to supply products that are marketed as branded products in the pharmaceutical sector; and
 - (ii) sufficient capability to receive the Licensed Technology and, having regard to the resources transferred pursuant to these Commitments, to further develop or have developed, such Technology.

Case No COMP/M.4314 - J&J/Pfizer Consumer Healthcare
Annex 1 to the Global Nicotine Patch Business Commitment
[CONFIDENTIAL]

[CONFIDENTIAL]

Case No COMP/M.4314 - J&J/Pfizer Consumer Healthcare

Annex 2 to the Global Nicotine Patch Business Commitment Major Equipment

Overview of the manufacturing process

The ALZA nicotine patch manufacturing process consists of three main processes: extrusion, converting and pouching. Through the extrusion process, nicotine and polymer are mixed in an inert, temperature controlled environment and extruded and calendered between plastic films. The resulting laminate is then wound onto rolls. The converting line laminates the adhesive onto rollstock, slits and laminates the liner, treats and prints the patches, die-cuts the patches into the final size and rewinds the patches onto spools. Finally, the pouching line feeds the patches from the spools, cuts the liner to separate the individual patches, prints the lot and expiration date on the pouch stock, seals the systems in the pouch stock and cuts the pouches to their final size. The nicotine patches are supplied as pouch stock to the customer.

Major Equipment

The Major Equipment comprises three equipment lines in total for the manufacture of nicotine patches. The three equipment lines are made up of three extruders, two convertors, four pouchers and an isolator. Further details are provided below. Currently, two equipment lines suffice in order to cover the worldwide supply of ALZA nicotine patches.

ALZA manufactures the Nicotine Patch Products at two sites: Vacaville, California, U.S.A. and Cashel, Ireland. Neither of these plants are dedicated to the manufacture of nicotine patches.

Cashel

At Cashel, there is one equipment line, which consists of:

- One extruder, which has the capacity to manufacture [CONFIDENTIAL] million patches per year.
- One convertor,² which has a capacity of [CONFIDENTIAL] million patches per year.
- One poucher, with the capacity to process [CONFIDENTIAL] million patches per year.
- An isolator, which is used, in accordance with applicable regulatory requirements, to protect operators sampling nicotine from chemical hazard.

Vacaville

At Vacaville, there are two equipment lines. These comprise:

- Two extruders, each with the capacity to manufacture [CONFIDENTIAL] million patches per year.
- One convertor,³ which currently has a capacity of [CONFIDENTIAL] million patches per year and processes the output of both Vacaville extruders.⁴

² [CONFIDENTIAL]

- Three pouching lines, each of which has the capacity to manufacture [CONFIDENTIAL] million patches per year. (While only two pouching lines are required to meet current worldwide volumes, ALZA also commits to transfer an additional pouching line, if the Purchaser so requests.)
- There are no regulatory requirements for an isolator to be used at Vacaville. Instead, operators handling nicotine wear special protective suits to protect them from chemical hazard.

3 [CONFIDENTIAL]

4 [CONFIDENTIAL]

Case No COMP/M.4314 - J&J/Pfizer Consumer Healthcare
Annex 3 to the Global Nicotine Patch Business Commitment
Technical Files

Manufacturing Facility

Proprietary information regarding specialised facility configurations, as required by the Purchaser.

Active Pharmaceutical Ingredients & Critical / Novel Excipients

Information regarding the raw materials used to manufacture the Nicotine Patch Products, including:

- Manufacturing Sites
- List of Components and Quality/Grades
- Vendor Specifications and Quality Requirements
- Analytical Test Methods & Test Method Validation
- Certificates of Analysis
- Reference Standards
- Stability and Expiration Dating Information (if applicable)
- Compendial, Regulatory, and Internal Specifications
- Analytical and Microbiological Summary Report with Historical Data
- Component Supplier/Site Qualification (if applicable)
- Component Storage and Handling

Drug Product & Manufacturing

Information regarding the finished Nicotine Patch Product and its manufacture, including:

- Quantitative Composition / Formulation of Drug Product
- Description of Production and Packaging Processes / Equipment Train
- Process Flow Diagrams
- Description of Software driven Controls
- Batch Records (Master Formulas and Associated Forms)
- In Process Controls, Test Methods, and Limits
- Standard Operating Procedures (SOP) for Manufacturing
- Critical Parameters and Historical Capabilities
- Maximum Allowable Hold Times
- Equipment Description

- Intermediate Storage Conditions
- Bulk Storage and Handling Conditions
- Cleaning Procedures, Test Methods, and Validations
- Microbial Cleaning Assessment
- Process Validations
- Bio – Batch Data
- Drug Product Specifications
- Analytical and Microbiological Test Methods and Validations
- Historical Test Results Summary
- Certificates of Analyses

Information regarding the packaging used for the Nicotine Patch Product, including:

- Schematics
- Rationale for packaging
- Materials of Construction
- Specifications and Test Methods
- Compatibility and Stability Reports

Drug Product Stability

The following stability studies and reports:

- Shipping Studies
- Historical and Current Stability Reports
- Degradation Pathways
- Stability Specifications
- Stability Test Methods and Validation

Case No COMP/M.4314 - J&J/Pfizer Consumer Healthcare

**Annex 4 to the Global Nicotine Patch Business Commitment
Trademarks**

ALZA does not own, or have any rights or licence to the Nicoderm or NiQuitin trademarks anywhere in the world. These trademarks are owned by the downstream marketing partners Sanofi-Aventis, GSK and PCH, or by third parties. ALZA owns, and commits to transfer, the Nicabate trademark, as registered in the following countries:

- China, Peoples Republic (PRC)
- European Union
- Iceland
- India
- Japan
- Norway
- Romania
- Russian Federation (formerly USSR)
- Serbia/Montenegro
- Switzerland

Case No COMP/M.4314 - J&J/Pfizer Consumer Healthcare

Annex 5 to the Global Nicotine Patch Business Commitment
Intellectual Property

ALZA Patents

The patents listed below are the main patents owned by ALZA, issued or pending for each patent family relating to the Nicotine Patch Products. Equivalent patents in other jurisdictions will also be licensed in order to give the Purchaser the full worldwide rights for nicotine patches.

Patent family number	Status	Expiry date	Owner	Title and Field
EP1140039A1	Pending ⁵	13/12/19	ALZA	<u>Transparent transdermal nicotine delivery devices.</u> A transparent transdermal delivery device for delivering nicotine which has an Opacity Index of less than 48.6%.
EP0525105B1	Granted	11/02/11	ALZA	<u>Polyisobutylene adhesives for transdermal devices.</u> Invention pertains to polyisobutylene (PIB) adhesives useful in transdermal drug delivery systems.
EP0506860B1	Granted	16/12/10	ALZA	<u>Nicotine packaging materials.</u> Invention pertains to materials and methods for the manufacture of nicotine storage pouches.
EP0427741B1	Granted	12/06/09	ALZA	<u>Subsaturated transdermal delivery device.</u> Invention relates to transdermal delivery devices intended to deliver biologically active agents through skin at substantially constant rates for extended periods of time and more particularly to such devices in which the active agent to be delivered is present in the device at a concentration below saturation.

⁵ Patents within this family have been granted outside of the EU.

Patent family number	Status	Expiry date	Owner	Title and Field
US5342623	Granted	02/04/08	ALZA	<u>Subsaturated transdermal therapeutic system having improved release characteristics</u> Invention relates to medical devices in the form of transdermal delivery devices intended to deliver biologically active agents through skin at substantially constant rates for extended periods of time and more particularly to such systems which utilize rate controlling membranes and in-line adhesives.

Third Party Patents

In addition, ALZA benefits from certain covenants on the part of third parties not to sue in connection with certain patents. Where such protection does not automatically extend to ALZA's licensees, J&J shall use reasonable efforts to ensure that the Purchaser is afforded equivalent protection in this regard. Where such covenants are mutual, this may involve a commitment on the part of the Purchaser not to sue the relevant third party of certain of the ALZA patents.

Details of the relevant third parties and patent numbers are as follows:

[CONFIDENTIAL]

Other intellectual property rights

ALZA will transfer all proprietary information necessary to manufacture the Nicotine Patch Products, including all relevant content from the ALZA Master Index, which contains details of the methods, formulae, instructions, advisories and analytical tools relating to ALZA's products together with all those materials listed in Annex 3.

J&J represents and warrants that the intellectual property, as defined in the Schedule and further specified in this Annex, is sufficient to run the divested business as a viable and independent business.

Case No COMP/M.4314 - J&J/Pfizer Consumer Healthcare

**Annex 6 to the Global Nicotine Patch Business Commitment
Licences and permits**

The licences and permits required by the Purchaser in order to manufacture the Nicotine Patch Products are the same as those generally required to manufacture any other pharmaceutical product, and will vary according to the location of the Purchaser's manufacturing plant.

By way of indication of the type of authorisation that is generally required, Vacaville is licensed under a Drug Manufacturing License, issued by the State of California, Department of Health Services, Food and Drug Branch and is also registered as Drug Establishment by the Food and Drug Administration, Department of Health and Human Services. Cashel operates under a Manufacturer's Licence and a Certificate of Good Manufacturing Practice Compliance of a Manufacturer, both issued by the Irish Medicines Board. ALZA is also licensed at Cashel to hold an inventory of a controlled substance and to manufacture using a controlled substance. In addition, it holds an integrated pollution control license, issued by the Environmental Protection Agency. [CONFIDENTIAL] which carries out chemical and microbiological analysis of starting materials, raw materials, finished products and water on behalf of ALZA is authorised under an Quality Control Laboratory Approval, also issued by the Irish Medicines Board.

The above licences and permits are not legally transferable. Therefore, J&J shall cause ALZA to use reasonable efforts to assist the Purchaser to obtain necessary licences and permits, which may be required.

Case No COMP/M.4314 - J&J/Pfizer Consumer Healthcare

**Annex 7 to the Global Nicotine Patch Business Commitment
Supplier Contracts**

There are [CONFIDENTIAL] supply contracts. ALZA shall employ reasonable efforts to ensure that the Purchaser is able to source the relevant products from these suppliers.

Contract	Summary
[CONFIDENTIAL]	

Case No COMP/M.4314 - J&J/Pfizer Consumer Healthcare
Annex 8 to the Global Nicotine Patch Business Commitment
Customer Contracts

Contract	Summary
[CONFIDENTIAL]	

Case No COMP/M.4314 - J&J/Pfizer Consumer Healthcare
Annex 9 to the Global Nicotine Patch Business Commitment
Personnel List

Cashel Personnel

Name	Function
[CONFIDENTIAL]	

Vacaville Personnel

Name	Function
[CONFIDENTIAL]	

Case No COMP/M.4314 - J&J/Pfizer Consumer Healthcare
Annex 10 to the Global Nicotine Patch Business Commitment
Key Personnel

A. [CONFIDENTIAL] Key Personnel

[CONFIDENTIAL]

B. Other Personnel to be incentivised

For the avoidance of doubt, the Personnel below are not required for the viability of the Global Nicotine Patch Business. However, J&J shall, at the option of the Purchaser, cause ALZA to undertake the incentive efforts set out in the Schedule with respect to Key Personnel.

[CONFIDENTIAL]

Case No COMP/M.4314 - J&J/Pfizer Consumer Healthcare
Annex 11 to the Global Nicotine Patch Business Commitment
R&D Personnel

[CONFIDENTIAL]

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**Annex 12 to the Global Nicotine Patch Business Commitment
Supplemental provisions to GSK Distribution Agreement**

J&J shall cause ALZA to comply with the following provisions for as long as ALZA remains party to the GSK Distribution Agreement (which is until Closing). In the event of conflict between the terms of the agreement and the provisions below, the latter shall prevail:

[CONFIDENTIAL]

The compliance with these principles, as well as with the terms of the GSK Distribution Agreement, for as long as it remains in place, shall be subject to the supervision of the Monitoring Trustee.

Case No COMP/M.4314 - J&J/Pfizer Consumer Healthcare

Annex 13 to the Global Nicotine Patch Business Commitment Supply Agreement Principles

- The supply agreement will cover the Nicotine Patches. The agreement will include appropriate provisions allowing the Purchaser to withdraw specific Nicotine Patch Products from the scope of the agreement, thus allowing it to self-manufacture once it is in a position to do so.
- During the Transitional Period, ALZA will sell Nicotine Patches to the Purchaser on a reasonable cost-plus margin basis. Cost shall be defined in accordance with Generally Acceptable Accounting Principles and negotiated by J&J or ALZA and the Purchaser at a level consistent with standard industry practice; the margin shall be set at a discount to standard industry practice.
- ALZA shall be required to provide support to the Purchaser on a reasonable cost plus basis in its application for product approval from the competent regulatory bodies, and in particular shall provide to the Purchaser or the regulatory body such information as is requested by that body.
- The supply agreement shall include appropriate provisions with regard to regulatory compliance.
- The Purchaser shall be required to send ALZA non-binding twelve (12) month rolling monthly forecasts of its reasonably expected requirements for Nicotine Patch Products (firm and binding as to the next two months). If, for any reason (e.g. production shortages or events akin to force majeure), ALZA is unable to meet the Purchaser's requirements of Nicotine Patch Products, J&J shall allocate deliveries of that product to the Purchaser in the proportion that represents [CONFIDENTIAL]% of the proportion that prevailed between ALZA and the Purchaser on average during the [CONFIDENTIAL] preceding completed quarters.
- The supply agreement shall include appropriate provisions with regard to ALZA building and keeping an adequate safety stock of products at all times during the duration of the transitional supply agreement. The Monitoring Trustee may recommend appropriate safety stock levels to ensure security of supply, or if necessary, such additional supply-related measures as may be reasonably needed to ensure that product is available to the Purchaser.
- The Purchaser may terminate the supply agreement at its discretion on [CONFIDENTIAL] notice.
- Delivery of the Nicotine Patches will be made in a timely manner and according to a pre-defined schedule, in line with standard industry practice.

Case No COMP/M.4314 - J&J/Pfizer Consumer Healthcare

**Annex 14 to the International Nicotine Patch Commitment
Firewall Principles**

- J&J shall implement firewalls which will prevent, during the Transitional Period, any exchange, communication or flow of Confidential Information, as defined below, between ALZA and the Consumer Division of J&J (where the Pfizer Consumer Healthcare nicotine patch business shall be held).
- Confidential Information means all information that is not in the public domain relating to the research, technology, development, manufacture, marketing, commercialisation, distribution, cost, pricing, supply, sales, or use of nicotine patch products or other nicotine replacement products manufactured, sold or in development. ALZA Confidential Information means all Confidential Information pertaining to the ALZA Nicotine Patch Business subject to this remedy. PCH Confidential Information means all Confidential Information pertaining to the Pfizer Consumer Healthcare nicotine replacement products acquired by J&J.
- J&J will submit to the Monitoring Trustee within two weeks of the appointment of the latter, suitable proposals for firewalls between ALZA and the Consumer Division. These proposals will include confidentiality agreements (the terms of which shall be subject to the approval of the Monitoring Trustee), IT arrangements regarding access and storage of information, monitoring mechanisms, procedures for release, change of positions, reporting lines etc.

Case No COMP/M.4314 - J&J/Pfizer Consumer Healthcare

**Nicotine Patch Commitment
International Nicotine Patch Business
Schedule**

1. This Divestment Business consists of the assets and personnel directly and predominantly associated with the manufacture and supply of ALZA's transdermal nicotine patch for sale to the whole world with the exception of the U.S., Canada and Korea (the "International Territory"). Those products will be referred to hereafter as the "Nicotine Patch Products".
2. Following paragraph 6 of the Commitments, the International Nicotine Patch Business includes but is not limited to:
 - (a) the following main tangible assets:
 - (i) ALZA's inventory of finished Nicotine Patch Products attributable to the International Nicotine Patch Business.
 - (ii) [CONFIDENTIAL]
 - (iii) At the option of the Purchaser, all production equipment necessary for the manufacture of Nicotine Patch Products ("Major Equipment") attributable to the International Nicotine Patch Business, as listed in the attached Annex 2.
 - (iv) At the option of the Purchaser, all other equipment, ancillary to the Major Equipment, used in the manufacture of the Nicotine Patch Products attributable to the International Nicotine Patch Business.
 - (v) Copies of all technical files and drawings, product and production specifications, manufacturing process descriptions, packaging specifications, quality control documents, stability reports, validation documentation and other regulatory records, relating to the International Nicotine Patch Business. These technical files are listed at Annex 3.
 - (vi) Copies of all data results and records of clinical trials relevant to the Nicotine Patch Products attributable to the International Nicotine Patch Business.
 - (vii) Copies of all books, ledgers and other business records related to the International Nicotine Patch Business.
 - (viii) Copies of any and all other materials that are specific to the Nicotine Patch Products attributable to the International Nicotine Patch Business.
 - (b) the following main intangible assets, to the extent they are owned or licensed by ALZA:
 - (i) The assignment of all relevant trademarks owned by ALZA attributable to the International Nicotine Patch Business. These are listed in Annex 4.
 - (ii) The grant of a perpetual and irrevocable licence to use in the International Territory, any intellectual property rights (including patents, patent applications, technology, trade secrets, inventions and know-how) which ALZA currently holds and uses in connection with the Nicotine Patch Products, as listed in Annex 5 (the "Licensed Technology"). This licence shall be exclusive with respect to transdermal patch

formulations of nicotine or nicotine in combination with other compounds and non-exclusive with respect to transdermal patch formulations of any other compound. This licence shall include the right to sublicense. Both the exclusive and non-exclusive licences are subject to any pre-existing third party rights (e.g., as a result of patent settlements, or licenses to other parties) at the Effective Date and the non-exclusive licence excludes use for products that ALZA, or an affiliated undertaking, has commercialised, itself or through a commercial partner, or has in active development at the Effective Date. For the avoidance of doubt, J&J shall continue to have the right to exploit the Licensed Technology outside of the International Territory and for any purposes other than the development, manufacture and supply of transdermal nicotine patches (including the right to grant licences for any fields of use other than transdermal nicotine patches).

- (iii) The grant of a perpetual, irrevocable and non-exclusive right to use in the International Territory, any improvements (including patents and know-how) relating to the Licensed Technology which arise up to the date of Closing. Such rights are subject to pre-existing third party rights and the same exclusions as under (ii). For the avoidance of doubt, J&J shall continue to have the right to exploit the Licensed Technology and improvements thereto outside of the International Territory and for any purposes other than the development, manufacture and supply of transdermal nicotine patches (including the right to grant licences for any fields of use other than transdermal nicotine patches).
- (c) To the extent legally transferable (by way of assignment or licence), all licences, permits and other governmental authorisations and registrations [CONFIDENTIAL] and others relating predominantly to the International Nicotine Patch Business. If such licences, permits, authorisations or registrations are not legally transferable or do not predominantly relate to the Nicotine Patch Products, J&J (or an Affiliated Undertaking) shall reasonably assist the Purchaser in obtaining the necessary licences, permits, authorisations or registrations or other approvals in connection with the Purchaser operating [CONFIDENTIAL]. The licences which ALZA currently holds are listed in Annex 6.
- (d) At the option of the Purchaser, the assignment of ALZA's contracts (or portions thereof) with suppliers of raw materials for the manufacture of the Nicotine Patch Products sold in the International Territory, to the extent they are assignable. If such contracts are not assignable, in whole or in part, ALZA shall use reasonable efforts to obtain consent to assign or shall introduce the Purchaser to the relevant supplier in order that a new supply agreement may be entered into. If ALZA is unable to obtain consent to assign an agreement and the Purchaser is unable to enter into a new agreement, ALZA shall enter into a back-to-back arrangement, under the existing supply agreement, with the Purchaser in order to enable the Purchaser to procure the relevant raw material. These supply contracts are listed in Annex 7.
- (e) Assignment of the Transdermal Nicotine Product Distribution Agreement, dated [CONFIDENTIAL], with GlaxoSmithKline ("GSK") (the "GSK Distribution Agreement"), as described in Annex 8. [CONFIDENTIAL] the Agreement will only be assigned either to GSK itself, or to a [CONFIDENTIAL] approved third party Purchaser. J&J shall cause ALZA to renounce certain of its rights under the GSK Distribution Agreement (but not the rights of any of its assignees) and enter into additional obligations, for as long as ALZA remains a party to that agreement (that is until Closing). These supplemental waivers and obligations

are set out in Annex 12. For the avoidance of doubt, Annex 12 shall only apply to ALZA and does not apply to the assignee of the GSK Distribution Agreement.

- (f) The Personnel listed in Annex 9. J&J shall not solicit the Personnel during the Transitional Period.
 - (g) J&J shall cause ALZA to incentivise (in accordance with normal business practices) the Key Personnel [CONFIDENTIAL], as listed in Annex 10A, to continue employment with the Purchaser. At the option of the Purchaser, J&J shall cause ALZA to incentivise (in accordance with normal business practices) the other Personnel, as listed in Annex 10B, to take up employment with the Purchaser.
 - (h) Any R&D assets (excluding intellectual property: this is dealt with in Section 2(b)(ii) and (iii) above) predominantly associated with the International Nicotine Patch Business (under the form of a non-exclusive licence if those assets pertain also to other ALZA products), in particular, to the extent legally transferable, any rights to development projects with regard to the Nicotine Patch Products, whether they are finished or still ongoing up to the date of full transfer of the manufacturing.
 - (i) At the request of the Purchaser, J&J shall cause ALZA to make available several of the ALZA employees and former employees who are, or were, primarily dedicated to research and development as regards ALZA's D-TRANS transdermal patch technology platform to take up employment with the Purchaser. The titles of those R&D employees are listed at Annex 11.
 - (j) For the avoidance of doubt, the International Nicotine Patch Business shall not include:
 - (i) Ancillary manufacturing equipment that is customised for the particular configuration of, and "built-in" to either the Vacaville or Cashel manufacturing facility ([CONFIDENTIAL]). As regards such equipment J&J shall cause ALZA to use reasonable efforts to assist the Purchaser to purchase any new equipment required.
 - (ii) Ancillary manufacturing equipment that is shared with other manufacturing lines in ALZA's Vacaville or Cashel manufacturing facilities and cannot be transferred, including laboratory, warehouse, facilities, calibration and information management equipment ([CONFIDENTIAL]). Such equipment is commonly found and used in most existing pharmaceutical manufacturing enterprises, or would be built into any new facility. As regards such equipment, J&J will cause ALZA to use reasonable efforts to assist the Purchaser to purchase any new equipment required.
 - (iii) The right to use the ALZA or J&J name and logos of any affiliate in the Johnson & Johnson Family of Companies.
 - (k) In the event that materials to be transferred contain information that is confidential to J&J's retained businesses, these shall be redacted as appropriate.
3. J&J commits that the assets to be transferred are sufficient for the Purchaser to operate the divested business as a viable and independent business.
 4. J&J shall cause ALZA to provide the following transitional supply and technical assistance services during a period of [CONFIDENTIAL] years from Closing. This period can be extended by the Monitoring Trustee until such time that the Purchaser has established the International Nicotine Patch Business as a viable and independent business at premises

independent from J&J/ALZA, as certified by the Monitoring Trustee (the "Transitional Period").

- (i) J&J shall cause ALZA to provide technical assistance (including appropriate training of the Purchaser's employees) required by the Purchaser regarding the construction, installation, qualification and validation of suitable manufacturing equipment and facilities, on a reasonable cost plus basis to be agreed with the Purchaser.
 - (ii) J&J shall cause ALZA to provide back up supply as requested by the Purchaser, if need be, and for quantities agreed between the parties on terms consistent with the principles set out in Annex 13.
- 5. J&J shall comply with the Firewall Principles in Annex 14 for the duration of the Transitional Period referred to above.
- 6. The transitional technical assistance agreement referred to above shall include appropriate provisions designed to incentivise ALZA to provide technical assistance to the Purchaser expeditiously. These provisions may include terms whereby the price payable by the Purchaser for technical assistance is reduced over time. J&J shall cause ALZA to carry out the technical assistance for the technology transfer in accordance with good industry practice including as regards the timing and responsiveness with which this assistance is provided through the different stages of the transfer.
- 7. The transitional technical assistance agreement and the transitional supply arrangements, referred to above shall include the Fast Track Resolution Procedure provisions set out in the J&J Commitments and will be subject to the supervision of the Monitoring Trustee for as long as these agreements remain in place.
- 8. At the option of the Purchaser, J&J shall cause ALZA to conduct R&D for the Purchaser in order to develop improvements to the Nicotine Patch Products, on a reasonable cost plus basis to be agreed with the Purchaser, following Closing for a period of [CONFIDENTIAL] years.
- 9. [CONFIDENTIAL]
- 10. With regard to the Purchaser Requirements referred to in paragraph 18 of the J&J Commitments, it is further specified that the Purchaser must have:
 - (i) sufficient capability to supply products that are marketed as branded products in the pharmaceutical sector; and
 - (ii) sufficient capability to receive the Licensed Technology and, having regard to the resources transferred pursuant to these Commitments, to further develop or have developed, such Technology.

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Annex 1 to the International Nicotine Patch Business Commitment

[CONFIDENTIAL]

[CONFIDENTIAL]

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Annex 2 to the International Nicotine Patch Business Commitment Major Equipment

Overview of the manufacturing process

The ALZA nicotine patch manufacturing process consists of three main processes: extrusion, converting and pouching. Through the extrusion process, nicotine and polymer are mixed in an inert, temperature controlled environment and extruded and calendered between plastic films. The resulting laminate is then wound onto rolls. The converting line laminates the adhesive onto rollstock, slits and laminates the liner, treats and prints the patches, die-cuts the patches into the final size and rewinds the patches onto spools. Finally, the pouching line feeds the patches from the spools, cuts the liner to separate the individual patches, prints the lot and expiration date on the pouch stock, seals the systems in the pouch stock and cuts the pouches to their final size. The nicotine patches are supplied as pouch stock to the customer.

ALZA manufactures the Nicotine Patch Products at two sites: Vacaville, California, U.S.A. (which has two dedicated production lines) and Cashel, Ireland (which has one dedicated production line). Neither plant is dedicated to the manufacture of nicotine patches.

Major Equipment

The Major Equipment comprises two equipment lines for the manufacture of the Nicotine Patch Products; one at Cashel and one at Vacaville. In total, this will comprise two extruders, one convertor and two pouchers. If required under the regulations governing the Purchaser's manufacturing facility, an isolator will also be included in the transfer.

- Each extruder has the capacity to manufacture [CONFIDENTIAL] million patches per year.
- The convertor has the capacity to process [CONFIDENTIAL] million patches per year.
- The Cashel poucher has the capacity to process [CONFIDENTIAL] million patches per year and the Vacaville poucher has the capacity to process [CONFIDENTIAL] million patches per year.
- An isolator is currently used at the Cashel plant, in accordance with applicable regulatory requirements, to protect operators sampling nicotine from chemical hazard. There is no such requirement at Vacaville, where operators handling nicotine wear special protective suits for the same purpose.

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Annex 3 to the International Nicotine Patch Business Commitment Technical Files

Manufacturing Facility

Proprietary information regarding specialised facility configurations, to the extent relating to the International Nicotine Patch Business, as required by the Purchaser.

Active Pharmaceutical Ingredients & Critical / Novel Excipients

Information regarding the raw materials used to manufacture the Nicotine Patch Products, including:

- Manufacturing Sites
- List of Components and Quality/Grades
- Vendor Specifications and Quality Requirements
- Analytical Test Methods & Test Method Validation
- Certificates of Analysis
- Reference Standards
- Stability and Expiration Dating Information (if applicable)
- Compendial, Regulatory, and Internal Specifications
- Analytical and Microbiological Summary Report with Historical Data
- Component Supplier/Site Qualification (if applicable)
- Component Storage and Handling

Drug Product & Manufacturing

Information regarding the finished Nicotine Patch Product and its manufacture, including:

- Quantitative Composition / Formulation of Drug Product
- Description of Production and Packaging Processes / Equipment Train
- Process Flow Diagrams
- Description of Software driven Controls
- Batch Records (Master Formulas and Associated Forms)
- In Process Controls, Test Methods, and Limits
- Standard Operating Procedures (SOP) for Manufacturing
- Critical Parameters and Historical Capabilities
- Maximum Allowable Hold Times

- Equipment Description
- Intermediate Storage Conditions
- Bulk Storage and Handling Conditions
- Cleaning Procedures, Test Methods, and Validations
- Microbial Cleaning Assessment
- Process Validations
- • Bio – Batch Data
- Drug Product Specifications
- Analytical and Microbiological Test Methods and Validations
- Historical Test Results Summary
- Certificates of Analyses

Information regarding the packaging used for the Nicotine Patch Products, including:

- Schematics
- Rationale for packaging
- Materials of Construction
- Specifications and Test Methods
- Compatibility and Stability Reports

Drug Product Stability

- The following stability studies and reports:
- Shipping Studies
- Historical and Current Stability Reports
- Degradation Pathways
- Stability Specifications
- Stability Test Methods and Validation

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Annex 4 to the International Nicotine Patch Business Commitment Trademarks

ALZA does not own, or have any rights or licence to the Nicoderm or NiQuitin trademarks anywhere in the International Territory. These trademarks are owned by the downstream marketing partner for the territory, GSK, or by third parties. Similarly, GSK owns the Nicabate trademark in Australia and New Zealand. ALZA owns, and commits to transfer, the Nicabate trademark, as registered in the following countries:

- China, Peoples Republic (PRC)
- European Union
- Iceland
- India
- Japan
- Norway
- Romania
- Russian Federation (formerly USSR)
- Serbia/Montenegro
- Switzerland

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Annex 5 to the International Nicotine Patch Business Commitment
Intellectual Property

ALZA Patents

The patents listed below are the main patents owned by ALZA, issued or pending, for each patent family relating to the Nicotine Patch Products. Paragraph (b)(ii) of the Schedule shall apply with respect to these patent families to the extent they relate to the International Territory. Therefore, equivalent patents in other jurisdictions within the International Territory will also be licensed in order to give the Purchaser full rights in the International Territory for nicotine patches.

Patent family number	Status	Expiry date	Owner	Title and Field
EP1140039A1	Pending ¹	13/12/19	ALZA	<u>Transparent transdermal nicotine delivery devices.</u> A transparent transdermal delivery device for delivering nicotine which has an Opacity Index of less than 48.6%.
EP0525105B1	Granted	11/02/11	ALZA	<u>Polyisobutylene adhesives for transdermal devices.</u> Invention pertains to polyisobutylene (PIB) adhesives useful in transdermal drug delivery systems.
EP0506860B1	Granted	16/12/10	ALZA	<u>Nicotine packaging materials.</u> Invention pertains to materials and methods for the manufacture of nicotine storage pouches.
EP0427741B1	Granted	12/06/09	ALZA	<u>Subsaturated transdermal delivery device.</u> Invention relates to transdermal delivery devices intended to deliver biologically active agents through skin at substantially constant rates for extended periods of time and more particularly to such devices in which the active agent to be delivered is present in the device at a concentration below saturation.

¹ Patents within this family have been granted outside of the EU.

Patent family number	Status	Expiry date	Owner	Title and Field
US5342623	Granted	02/04/08	ALZA	<u>Subsaturated transdermal therapeutic system having improved release characteristics</u> Invention relates to medical devices in the form of transdermal delivery devices intended to deliver biologically active agents through skin at substantially constant rates for extended periods of time and more particularly to such systems which utilize rate controlling membranes and in-line adhesives.

Third Party Patents

In addition, ALZA benefits from certain covenants on the part of third parties not to sue in connection with certain patents. Where such protection does not automatically extend to ALZA's licensees, J&J shall use reasonable efforts to ensure that the Purchaser is afforded equivalent protection in this regard in respect of the International Territory. Where such covenants are mutual, this may involve a commitment on the part of the Purchaser not to sue the relevant third party with regard to certain of the ALZA patents.

Details of the relevant third parties and patent numbers are as follows:

[CONFIDENTIAL]

Other intellectual property rights

ALZA will transfer all proprietary information necessary to manufacture Nicotine Patch Products, including all relevant content from the ALZA Master Index, which contains details of the methods, formulae, instructions, advisories and analytical tools relating to ALZA's products together with all those materials listed in Annex 3. J&J will use reasonable efforts to ensure that the Purchaser is afforded equivalent protection in this regard.

J&J represents and warrants that the intellectual property, as defined in the Schedule and further specified in this Annex, is sufficient to run the divested business as a viable and independent business.

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**Annex 6 to the International Nicotine Patch Business Commitment
Licences and permits**

The licences and permits required by the Purchaser in order to manufacture the Nicotine Patch Products are the same as those generally required to manufacture any other pharmaceutical product, and will vary according to the location of the Purchaser's manufacturing plant.

By way of indication of the type of authorisation that is generally required, Vacaville is licensed under a Drug Manufacturing License, issued by the State of California, Department of Health Services, Food and Drug Branch and is also registered as Drug Establishment by the Food and Drug Administration, Department of Health and Human Services. Cashel operates under a Manufacturer's Licence and a Certificate of Good Manufacturing Practice Compliance of a Manufacturer, both issued by the Irish Medicines Board. ALZA is also licensed at Cashel to hold an inventory of a controlled substance and to manufacture using a controlled substance. In addition, it holds an integrated pollution control license, issued by the Environmental Protection Agency. [CONFIDENTIAL], which carries out chemical and microbiological analysis of starting materials, raw materials, finished products and water on behalf of ALZA is authorised under an Quality Control Laboratory Approval, also issued by the Irish Medicines Board.

The above licences and permits are not legally transferable. Therefore, J&J shall cause ALZA to use reasonable efforts to assist the Purchaser to obtain the necessary licences and permits, which may be required.

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**Annex 7 to the International Nicotine Patch Business Commitment
Supplier Contracts**

There are [CONFIDENTIAL] contracts. ALZA shall employ reasonable efforts to ensure that the Purchaser is able to source the relevant products from these suppliers.

Contract	Summary
[CONFIDENTIAL]	

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**Annex 8 to the International Nicotine Patch Business Commitment
Customer Contracts**

Contract	Summary
[CONFIDENTIAL]	

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**Annex 9 to the International Nicotine Patch Business Commitment
Personnel**

Cashel Personnel

Name	Function
[CONFIDENTIAL]	

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**Annex 10 to the International Nicotine Patch Business Commitment
Key Personnel**

A. [CONFIDENTIAL]Key Personnel

[CONFIDENTIAL]

B. Other Personnel to be incentivised

For the avoidance of doubt the Personnel below are not required for the viability of the International Nicotine Patch Business. However, J&J shall, at the option of the Purchaser, cause ALZA to undertake the incentive efforts set out in the Schedule with respect to Key Personnel.

[CONFIDENTIAL]

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**Annex 11 to the International Nicotine Patch Business Commitment
R&D**

[CONFIDENTIAL]

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**Annex 12 to the International Nicotine Patch Business Commitment
Supplemental provisions to GSK Distribution Agreement**

J&J shall cause ALZA to comply with the following provisions for as long as ALZA remains party to the GSK Distribution Agreement (which is until Closing). In the event of conflict between the terms of the agreement and the provisions below, the latter shall prevail:

[CONFIDENTIAL]

- (i) The compliance with these principles, as well as with the terms of the GSK Distribution Agreement, for as long as it remains in place, shall be subject to the supervision of the Monitoring Trustee.

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Annex 13 to the International Nicotine Patch Commitment Supply Agreement Principles

- The supply agreement will cover the Nicotine Patch Products. The agreement will include appropriate provisions allowing the Purchaser to withdraw specific Nicotine Patch Products from the scope of the agreement.
- ALZA will sell Nicotine Patch Products to the Purchaser on a reasonable cost-plus margin basis. Cost shall be defined in accordance with Generally Acceptable Accounting Principles and negotiated by J&J or ALZA and the Purchaser at a level consistent with standard industry practice; the margin shall be set at a discount to standard industry practice.
- ALZA shall be required to provide support to the Purchaser on a reasonable cost plus basis in its application for product approval from the competent regulatory bodies, and in particular shall provide to the Purchaser or the regulatory body such information as is requested by that body.
- The supply agreement shall include appropriate provisions with regard to regulatory compliance.
- The Purchaser shall be required to send ALZA non-binding twelve (12) month rolling monthly forecasts of its reasonably expected requirements of Nicotine Patch Products (firm and binding as to the next two months). If, for any reason (e.g. production shortages or events akin to force majeure), ALZA is unable to meet the Purchaser's requirements of Nicotine Patch Products, J&J shall allocate deliveries of that product to the Purchaser in the proportion that represents [CONFIDENTIAL]% of the proportion that prevailed between ALZA and the Purchaser on average during the [CONFIDENTIAL] preceding completed quarters.
- The supply agreement shall include appropriate provisions with regard to ALZA building and keeping an adequate safety stock of products at all times during the duration of the transitional supply agreement. The Monitoring Trustee may recommend appropriate safety stock levels to ensure security of supply, or if necessary, such additional supply-related measures as may be reasonably needed to ensure that product is available to the Purchaser.
- The Purchaser may terminate the supply agreement at its discretion on [CONFIDENTIAL] notice.
- Delivery of the Nicotine Patch Products will be made in a timely manner and according to a pre-defined schedule, in line with standard industry practice.

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**Annex 14 to the International Nicotine Patch Commitment
Firewall Principles**

- J&J shall implement firewalls which will prevent, during the "Transitional Period", any exchange, communication or flow of Confidential Information, as defined below, between ALZA and the Consumer Division of J&J (where the Pfizer Consumer Healthcare nicotine patch business shall be held).
- Confidential Information means all information that is not in the public domain relating to the research, technology, development, manufacture, marketing, commercialisation, distribution, cost, pricing, supply, sales, or use of nicotine patch products or other nicotine replacement products manufactured, sold or in development. ALZA Confidential Information means all Confidential Information pertaining to the ALZA Nicotine Patch Business subject to this remedy. PCH Confidential Information means all Confidential Information pertaining to the Pfizer Consumer Healthcare nicotine replacement products acquired by J&J.
- J&J will submit to the Monitoring Trustee within two weeks of the appointment of the latter, suitable proposals for firewalls between ALZA and the Consumer Division. These proposals will include confidentiality agreements (the terms of which shall be subject to the approval of the Monitoring Trustee, IT arrangements regarding access and storage of information, monitoring mechanisms, procedures for release, change of positions, reporting lines, etc.

Schedule 2

Lofenoxal Sale

- (a) The "Lofenoxal" trademark registered in Australia (Ref: 706695, Registered from 17 April 1996).
- (b) The copyright subsisting only in Australia in:
 - (i) advertising and marketing materials used exclusively in respect of the Lofenoxal brand;
 - (ii) the packaging materials used exclusively in respect of the Lofenoxal brand; and
 - (iii) the composition and/or formula used exclusively in the manufacture of Lofenoxal-branded products.
- (c) Similar industrial, commercial and intellectual property subsisting in Australia which is used exclusively in respect of the Lofenoxal brand.
- (d) Any other assets possessed by J&J which relate exclusively to the Lofenoxal brand in Australia and which the Approved Purchaser for the Lofenoxal Sale requires for the conduct of the business in respect of the Lofenoxal brand.
- (e) Customer lists for Lofenoxal-branded products.
- (f) All relevant Therapeutic Goods Administration registrations and approvals together with related licences.

Schedule 3

Lomotil Sale

- (a) The "Lomotil" trademark registered in Australia (Ref: 157718, Registered from 29 December 1959).
- (b) The domain name: lomotil.com.au
- (c) The copyright subsisting only in Australia in:
 - (i) advertising and marketing materials used exclusively in respect of the Lomotil brand;
 - (ii) the packaging materials used exclusively in respect of the Lomotil brand; and
 - (iii) the composition and/or formula used exclusively in the manufacture of Lomotil -branded products.
- (d) Similar industrial, commercial and intellectual property subsisting in Australia which is used exclusively in respect of the Lomotil brand.
- (e) Any other assets possessed by J&J which relate exclusively to the Lomotil brand in Australia and which the Approved Purchaser for the Lomotil Sale requires for the conduct of the business in respect of the Lomotil brand.
- (f) Customer lists for Lomotil-branded products.
- (g) All relevant Therapeutic Goods Administration registrations and approvals together with related licences.

Schedule 4

Vermox Sale

- (a) The "Vermox " trademark registered in Australia (Ref: 255522, Registered from 1 February 1972).
- (b) The copyright subsisting only in Australia in:
 - (i) advertising and marketing materials used exclusively in respect of the Vermox brand;
 - (ii) the packaging materials used exclusively in respect of the Vermox brand; and
 - (iii) the composition and/or formula used exclusively in the manufacture of Vermox -branded products.
- (c) Similar industrial, commercial and intellectual property subsisting in Australia which is used exclusively in respect of the Vermox brand.
- (d) A list of J&J's customers in Australia for the Vermox product.
- (e) Any finished goods inventory of the Vermox product for sale in Australia held by J&J on the date of completion of the Vermox Sale.
- (f) Any contractual rights that relate exclusively to the Vermox brand and which are capable of being assigned.
- (g) All relevant data, books and records that relate exclusively to the Vermox business in Australia and Vermox customers in Australia.
- (h) All relevant Therapeutic Goods Administration registrations and approvals together with related licences.

Schedule 5

Confidential

The Initial Sale Period is **[CONFIDENTIAL]**.

Schedule 6

Pfizer Undertaking

**Undertaking to the Australian Competition and
Consumer Commission pursuant to section 87B of the
Trade Practices Act 1974**

By

Pfizer Inc

1. Background

- (a) Pfizer Inc (Pfizer), a company incorporated in Delaware, United States of America, is a pharmaceutical company whose activities are divided into three business segments: consumer healthcare; pharmaceuticals; and animal health.
- (b) On 25 June 2006, Pfizer and J&J entered into a Stock and Asset Purchase Agreement to effect the sale of the Pfizer Consumer Healthcare Business to Johnson & Johnson (J&J) included in the assets of that business are the intellectual property and contractual rights in relation to the distribution of the Lomotil and Lofenoxal brands in Australia. The sale of the Pfizer Consumer Healthcare Business in Australia will be effected under a separate business transfer agreement in accordance with the terms of the Stock and Asset Purchase Agreement and shall be for the sale of assets of the business and not shares in a company.
- (c) In its Statement of Issues dated 28 November 2005, the Commission expressed the view that the Proposed Acquisition raises competition concerns under section 60 of the Act. Relevantly for the purposes of this undertaking (the *Pfizer Undertaking*), the Commission expressed concern that the acquisition by J&J of Pfizer brands Lomotil and Lofenoxal could lead to a lessening in competition in the market for medicines for the treatment of diarrhoea.
- (d) Without admission, J&J has offered an undertaking to the Commission with the intention that it will address the Commission's competition concerns including in relation to the market for medicines for the treatment of diarrhoea (the *J&J Undertaking*).
- (e) The J&J Undertaking includes an undertaking to complete the Divestiture Brand Sales within the Initial Sale Period to a prospective purchaser approved by the Commission (the *Approved Purchaser*). Relevantly for the purposes of the Pfizer Undertaking, this includes the sale of the Lofenoxal brand and the Lomotil brand which are described in the J&J Undertaking as the Lofenoxal Sale and the Lomotil Sale. In requiring the Lofenoxal Sale and the Lomotil Sale, the Commission is seeking to ensure that those brands are acquired by an Approved Purchaser capable of competing in the market for medicines for the treatment of diarrhoea, using those brands having secured a source of supply.
- (f) Lofenoxal and Lomotil are currently marketed in Australia by Pfizer Australia Pty Limited which is a wholly owned subsidiary of Pfizer.
- (g) Lofenoxal and Lomotil are manufactured for and supplied to Pfizer Manufacturing Services (a company incorporated in Ireland) by NPIL Pharmaceuticals (UK) Limited (NPIL) under a Manufacturing and Supply Agreement (the *NPIL Agreement*). Pfizer Australia Pty Limited obtains its requirements of Lofenoxal and Lomotil for sale in Australia through Pfizer inter-company arrangements.
- (h) The commercial arrangements which will be entered into following the Lomotil and Lofenoxal Sales are uncertain at this stage. It is possible that the NPIL Agreement insofar as it relates to Lomotil and Lofenoxal will be assigned to J&J or to an Approved Purchaser; new arrangements may be entered into between J&J and NPIL, or an Approved Purchaser and NPIL; or new arrangements may be entered into between an alternative supplier of

Lomofil and Lofenoxal and J&J, or an alternative supplier and Approved Purchaser. Should no one of these events occur, Pfizer undertakes, on the terms set out below, to ensure ongoing supply of Lomofil and Lofenoxal for sale in Australia to an Approved Purchaser, should this be required by an Approved Purchaser.

- (i) Pfizer has proffered the Pfizer Undertaking to the Commission pursuant to section 87B of the Act.

2. Interpretation

Definitions

- (a) In this document, words and phrases shall have the same meaning as in the J&J Undertaking unless expressly defined in the Pfizer Undertaking.

Construction

- (b) In the interpretation of a clause of the Pfizer Undertaking, a construction that would promote the purpose or object underlying the Pfizer Undertaking (whether that purpose or object is expressly stated in the Pfizer Undertaking or not) shall be preferred to a construction that would not promote that purpose or object. In the interpretation of this Undertaking, material which does not form part of this Undertaking, including the Commission's Statement of Issues dated 28 November 2006, may be considered to:
 - (i) confirm the meaning of a clause in the ordinary meaning conveyed by the text of the clause taking into account its context in the Undertaking and the competition concerns intended to be addressed by the Undertaking and the clause in question; or
 - (ii) determine the meaning of the clause when the ordinary meaning conveyed by the text of the clause taking into account its context in the Undertaking and the purpose or object underlying the Undertaking leads to a result that does not promote the purpose or object underlying the Undertaking.
- (c) In determining whether consideration should be given to any material in accordance with clause (b) or in considering any weight to be given to any such material, regard shall be had, in addition to any other relevant matters, to the:
 - (i) effect that reliance on the ordinary meaning conveyed by the text of the clause would have (taking into account its context in the Undertaking and whether that meaning promotes the purpose or object of the Undertaking); and
 - (ii) the need to ensure that the Undertaking promotes competition.
- (d) In performing its obligations under the Pfizer Undertaking, Pfizer will do everything reasonably within its power to ensure that its performance of those obligations is done in a manner which is consistent with promoting the purpose and object of the Pfizer Undertaking.
- (e) Unless expressed to the contrary, in this document:
 - (i) words in the singular include the plural and vice versa;

- (II) If a word or phrase is defined its other grammatical forms have corresponding meanings; and
- (III) "Includes" means includes without limitation.
- (f) Unless expressed to the contrary, in this document a reference to:
 - (i) a person includes a partnership, joint venture, unincorporated association, corporation and a government or statutory body or authority;
 - (ii) a person includes the person's legal personal representatives, successors, assigns and persons substituted by novation;
 - (iii) any legislation includes subordinate legislation under it and includes that legislation and subordinate legislation as modified or replaced; and
 - (iv) an obligation includes a warranty or representation and a reference to a failure to comply with an obligation includes a breach of warranty or representation.
- (g) Headings do not affect the interpretation of this document.

3 Commencement of Pfizer Undertaking

The Pfizer Undertaking comes into effect when the Pfizer Undertaking is executed by Pfizer and accepted and executed by the Commission.

4. Ongoing supply undertakings

- (a) Pfizer will, if requested to by J&J pursuant to its obligation under clause 24 of the J&J Undertaking, supply to the Approved Purchaser the Approved Purchaser's total requirements of Lofenoxal and Lomofil for sale by the Approved Purchaser in Australia.
- (b) Supply will commence within 30 days of J&J making the request unless otherwise agreed with the Approved Purchaser.
- (c) The cost of supply to the Approved Purchaser will be no greater than Pfizer's actual costs (which include the price paid to NPL and any reasonable costs of delivery, but does not include any of Pfizer's internal costs associated with arrangement of supply);
- (d) Pfizer will not, in any 12 month period, be required to supply an amount of Lofenoxal or Lomofil to the Approved Purchaser, if the amount sought by the Approved Purchaser is greater than 176 per cent of the total amount of either product acquired or sold by Pfizer Australia Pty Ltd (whichever is the greater) in the 2005 calendar year.
- (e) Pfizer's obligation to supply will cease 2 years from the date J&J first request supply.
- (f) Notwithstanding paragraph (e), Pfizer will continue to supply Lofenoxal and Lomofil-branded product to the Approved Purchaser on terms referred to in paragraphs (c) and (d) for a further 12 months after the expiry of the two year period if:
 - (i) the Approved Purchaser requests it 3 months prior to the expiry of the 2 year period; and

- (ii) the reason for the Approved Purchaser's request is that it is unable to commence retailing Lofenoxal and Lomofil-branded product sourced from an alternative source of supply as a result of delay in obtaining the necessary approvals from the Therapeutic Goods Administration which delay is not caused by an act or omission of the Approved Purchaser.
- (g) Pfizer will not be obliged to commence supply under this clause unless J&J has provided to Pfizer an indemnity in respect of any payment Pfizer may have to make to NPIL (other than payments for goods sold and delivered) solely in connection with the divestiture of Lomofil and Lofenoxal in Australia. The indemnity offered by J&J may be limited to payments to NPIL, the occurrence of which was notified to J&J a reasonable time before the payments were made.
- (h) The obligation accepted by Pfizer in clause 4(a) above:
 - (i) may involve Pfizer doing all things within its control, necessary to enforce its contractual rights under the NPIL Agreement; and
 - (ii) is subject to J&J doing all things within its control, necessary to ensure Pfizer is able to comply with the undertaking, including but not limited to ensuring access to rights to intellectual property that are required for Pfizer to comply with the supply obligation.

5. General

Obligation to procure

- (a) Where the performance of an obligation under the Pfizer Undertaking is imposed on Pfizer, if complete performance of the Pfizer Undertaking requires a Related Body Corporate of Pfizer to take some action or refrain from taking some action, Pfizer will procure that Related Body Corporate to take that action or refrain from taking that action.

Obligation to provide the Commission with information

- (b) Pfizer will provide the Commission with all information and documents that the Commission reasonably requires for the purpose of monitoring compliance with the Pfizer Undertaking.
- (c) Pfizer will use its best endeavours to comply with any request for information from the Commission within 5 Business Days or such other period of time as may be agreed between Pfizer and the Commission.
- (d) Except as required by law, the Commission will keep confidential any information provided to it by Pfizer pursuant to this Part 5 which is identified by Pfizer as confidential and the Commission agrees is confidential and will not disclose the same to any party without the written consent of Pfizer.

Severability

- (e) If for any reason a provision or provisions of the Pfizer Undertaking are found to be unlawful, invalid or unenforceable, to the extent permitted by law, the remaining terms of the Pfizer Undertaking remain in force.

Jurisdiction and Service of Process

- (f) Pfizer submits to the jurisdiction of the Federal Court of Australia.
- (g) Unless and until notified in writing by Pfizer to the Commission of the appointment of another law firm as agent within Australia, Pfizer irrevocably appoints Allens Arthur Robinson, of Deutsche Bank Place, 126 Phillip Street, Sydney, NSW, 2000, Australia as their agent for the purposes of any service of process under the Pfizer Undertaking.

Notices

- (h) Any notice or other communication given in relation to the Pfizer Undertaking should be sent to the address or fax number given below:

Pfizer Pfizer Australia Pty Limited
 Attention: Mr John Young, Regional Director Australia/NZ
 38-42 Wharf Road
 West Ryde NSW 2114
 Fax: (02) 9650 3646

With a copy to:
Allens Arthur Robinson
Attention: Ms Fiona Crossie, Partner
Deutsche Bank Place
126 Phillip Street
Sydney NSW 2000
Fax: (02) 9230 5333

Commission Attention: Mr Tim Grimwade, General Manager,
 Mergers and Asset Sales
 Level 7 Angel Place
 123 Pitt Street
 Sydney NSW 2000
 Fax: (02) 9223 1082

Acknowledgments

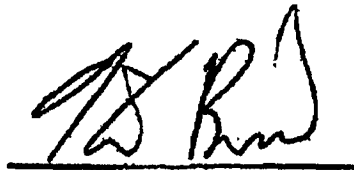
- (i) Pfizer acknowledges that the Pfizer Undertaking in no way affects the rights and remedies available to any other person arising from the subject matter of the Pfizer Undertaking.

- (i) Pfizer acknowledges that the Commission will make this Undertaking available for public inspection and that the Commission will, from time to time, publish and publicly refer to the Pfizer Undertaking.

SIGNED for PFIZER Inc



Signature of Witness



Officer

William C. Longa

Name of Witness

Kat Bernal

Name of Officer

Date:

ACCEPTED by the AUSTRALIAN COMPETITION AND CONSUMER COMMISSION



Graeme Julian Samuel

Chairman

Australian Competition and Consumer Commission

Date: